

AMBEON CAPITAL PLC
FINANCIAL STATEMENTS
31 MARCH 2019

APAG/AKG/TW

**INDEPENDENT AUDITORS' REPORT
TO THE SHAREHOLDERS OF AMBEON CAPITAL PLC**

Report on the audit of the consolidated Financial Statements

Opinion

We have audited the Financial Statements of Ambeon Capital PLC (the "Company"), and the consolidated Financial Statements of the Company and its subsidiaries (the "Group"), which comprise the statement of financial position as at 31 March 2019, and the statement of profit or loss, statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the Financial Statements, including a summary of significant accounting policies.

In our opinion, the accompanying Financial Statements of the Company and Group give a true and fair view of the financial position of the Company and Group as at 31 March 2019, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuS). Our responsibilities under those standards are further described in the auditors' responsibilities for the audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Financial Statements of the current period. These matters were addressed in the context of our audit of the Financial Statements as a whole, and in forming the auditors' opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditors' responsibilities for the audit of the Financial Statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the Financial Statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying Financial Statements.



(Contd...2/)

Key audit matter	How our audit addressed the key audit matter
Intangible assets with infinite useful life and re-measurement of provisional goodwill during the measurement period	
Intangible assets include Goodwill on consolidation and Brands with infinite useful life. Goodwill and intangible assets are subject to an annual impairment test. This annual impairment test was significant to our audit because the balance of Rs. 1.2 Bn as of 31 March 2019 is material to Financial Statement. Further, during the year Group re-measured the provisional goodwill on acquisitions of previous years' for the allocation of the purchase price to the identifiable assets and liabilities assumed. In addition, management's assessment process is complex and highly judgemental and is based on assumptions as disclosed in Note 13 to the Financial Statements. Therefore, we have determined this to be a Key audit matter.	We performed the following procedures amongst others; • We used our internal specialists to assist us, in evaluating the appropriateness of the models and reasonableness of estimates, used by the management. • In evaluating the purchase price allocation and re-measurement of goodwill for business combination completed during the year, we tested management's identification and valuation of the assets acquired, liabilities assumed and allocation of total purchase price paid. • We also focused on the adequacy of the related disclosures about the assumptions to which the outcome of the impairment test is most significant, that is, those that have the most significant effect on the determination of the recoverable amount of goodwill. The group's disclosures about goodwill are included in Note 13 to the Financial Statements.
Valuation of lands and buildings	
As at 31 March 2019, land and building carried at fair value amounted to Rs. 3 Bn and Rs. 3.6 Bn classified as Property, Plant and Equipment and Investment Property respectively. The Group has recorded revaluation gain of Rs. 632 Mn and fair value gain of Rs. 831 Mn during the year, in respect of Property, Plant and Equipment and investment property respectively. The fair value of such property was determined by external valuers engaged by the Group. The valuation of land and building was significant to our audit due to the use of significant estimates such as per perch price and value per square feet disclosed in Note 12 and 15 to the Financial Statements.	Our audit procedures focused on the valuations performed by external valuers engaged by the Group, and included the following; • Assessing the competency, capability and objectivity of the external valuers engaged by the Group. • Reading the professional valuers' reports and understood the key estimates made and the approach taken by the valuers in determining the valuation of each property. • Engaging our internal specialised resources to assess the reasonableness of the valuation technique, per perch price and value per square feet. • We also assessed the adequacy of the disclosures made in Note 12 and 15 to the Financial Statements relating to the valuation technique and estimates used by the professional valuers.

(Contd...3/)

Revenue recognition	
During the year, the Group adopted SLFRS 15 - Revenue from Contracts with Customers (the New Revenue Standard) which specifies how and when an entity should recognize revenue along with the need to provide users of Financial Statements with more informative, relevant disclosures. Group's involvement in diversified industries and wide spectrum of businesses such as Manufacturing (Footwear, Textile and Porcelain), Information Technology, Financial Services and Property, the Group was required to consider relevant clarifications and guidance specifically relating to point of revenue recognition i.e. at a point in time or over the period, agent vs principal relationships in adoption of the new revenue standard. As more fully described in Note 2.11.1 to the Financial Statements the process of adoption involved consideration of relevant legal aspects, industry practices, use of management critical judgments and estimates. Considering all the above matters, we determined the Group's adoption of the New Revenue Standard during the current year audit and a key audit matter.	Our audit procedures focused on the Group's adoption of the New Revenue Standard and included, amongst others, the following: • We assessed the process followed by the Group to ensure all revenue streams are considered in its assessment and that the related contracts reviewed are representative of specified revenue streams & contractual terms. • We perused Management's correspondence with consultants to assess the reasonability of the final conclusions reached on matters such as point and amount of revenue recognition for adoption of the new revenue standard. We also assessed the adequacy of enhanced disclosures made in Note 2.11.1 to the Financial Statements.

Other information included in the Group's 2019 Annual Report

Other information consists of the information included in the Annual Report, other than the Financial Statements and our auditors' report thereon. The Management is responsible for the other information. Other information is expected to be made available to us after the date of this auditors' report.

Our opinion on the Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Financial Statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the Financial Statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

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Responsibilities of management and those charged with governance

Management is responsible for the preparation of Financial Statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of Financial Statements that are free from material misstatement, whether due to fraud or error.

In preparing the Financial Statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process

Auditors' responsibilities for the audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Financial Statements

As part of an audit in accordance with Sri Lanka Auditing Standards, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- ▶ Identify and assess the risks of material misstatement of the Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- ▶ Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company and Group.
- ▶ Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- ▶ Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.

(Contd...5/)

- Evaluate the overall presentation, structure and content of the Financial Statements, including the disclosures, and whether the Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated Financial Statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

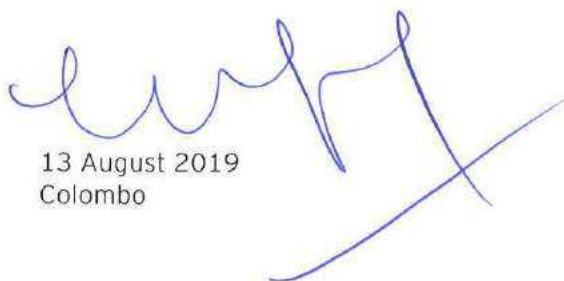
We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditors' report is 1697.



13 August 2019
Colombo

STATEMENT OF PROFIT OR LOSS

Year ended 31 March 2019

		Group		Company	
		2019 LKR	2018 LKR	2019 LKR	2018 LKR
Continuing Operations	Notes				
Revenue	5	17,732,587,184	12,588,656,155	7,036,462	280,869,653
Direct Cost	6	(13,809,979,812)	(10,087,751,071)	-	-
Gross Profit		3,922,607,372	2,500,905,084	7,036,462	280,869,653
Investment and Other Income	7	340,791,529	397,008,438	365,046,183	14,938,972
Selling and Distribution Expenses		(747,735,633)	(448,865,633)	-	-
Administrative Expenses		(2,268,046,337)	(1,793,441,082)	(45,064,369)	(142,431,390)
Change in Fair Value of Financial Assets Held for Trading		(145,624,635)	222,469,300	2,435,719	-
Changes in Fair Value of Investment Property	15	831,355,019	237,834,192	1,500,000	4,000,000
Reversal /(Impairment) of investment in subsidiary		-	-	(8,443,566)	218,707,472
Gain From Disposal of subsidiaries	16	-	-	531,286	609,911,667
Finance Cost	8	(1,017,922,140)	(829,580,187)	(476,726,534)	(572,728,205)
Profit/(Loss) Before Income Tax from Continuing Operations	9	915,425,175	286,330,112	(153,684,821)	413,268,169
Income Tax Expense	10	(401,530,041)	86,096,598	(1,068,362)	17,324,614
Profit/(Loss) for the Year from Continuing Operations		513,895,134	372,426,710	(154,753,183)	430,592,783
Discontinued Operations					
Profit/(Loss) after tax for the year from discontinued operations	4	(659,193)	9,870,089	-	-
Profit/(Loss) for the year		513,235,941	382,296,799	(154,753,183)	430,592,783
Profit / (Loss) Attributable to:					
Equity Holders of the Company		47,147,271	151,541,224	(154,753,183)	430,592,783
Non - Controlling Interests		466,088,670	230,755,575	-	-
		513,235,941	382,296,799	(154,753,183)	430,592,783
Basic Earnings / (Loss) Per Share	11	0.05	0.15	(0.15)	0.43
Basic Earnings / (Loss) Per Share from Continuing Operations	11	0.05	0.14	(0.15)	0.43

The Notes from pages 12 to 76 form an integral part of these Financial Statements.
Figures in bracket indicate deductions



STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 March 2019

	Notes	Group		Company	
		2019 LKR	2018 LKR	2019 LKR	2018 LKR
Profit/ (Loss) for the Year		513,235,941	382,296,799	(154,753,183)	430,592,783
Other Comprehensive Income					
Items that will never be reclassified to profit or loss					
Defined Benefit Obligations Actuarial Gain / (Loss)	23	26,703,131	(32,800,240)	-	163,962
Tax on Actuarial Gain / (Loss) on Defined Benefit Plans	25	(12,092,447)	8,636,253	-	(45,910)
Gain/(Loss) From Change in Fair Value of Financial Assets		(153,757,244)	-	-	-
Revaluation Gain on Land and Building	12	632,299,068	1,068,005,405	-	-
Tax on Revaluation Gain	25	(145,989,358)	(519,300,584)	-	-
		<u>347,163,150</u>	<u>524,540,834</u>	<u>-</u>	<u>118,052</u>
Items that are or may be reclassified to profit or loss					
Currency Translation of Foreign Operation		(378,266,928)	(40,515)	-	-
Related Tax		<u>52,957,057</u>			
		<u>(325,309,871)</u>	<u>(40,515)</u>	<u>-</u>	<u>-</u>
Total Other Comprehensive Income		<u>21,853,279</u>	<u>524,500,319</u>	<u>-</u>	<u>118,052</u>
Total Comprehensive Income for the Year		<u>535,089,220</u>	<u>906,797,118</u>	<u>(154,753,183)</u>	<u>430,710,835</u>
Total Comprehensive Income Attributable to:					
Equity Holders of the Company		21,875,941	545,857,053	(154,753,183)	430,710,835
Non - Controlling Interests		<u>513,213,279</u>	<u>360,940,065</u>	<u>-</u>	<u>-</u>
		<u>535,089,220</u>	<u>906,797,118</u>	<u>(154,753,183)</u>	<u>430,710,835</u>

The Notes from pages 12 to 76 form an integral part of these Financial Statements.
Figures in bracket indicate deductions.



STATEMENT OF FINANCIAL POSITION

As at 31 March 2019

ASSETS	Notes	Group		Company	
		2019 LKR	2018 LKR	2019 LKR	2018 LKR
Non-Current Assets					
Property, Plant & Equipment	12	5,115,420,533	5,465,161,313	16,427,629	446,108
Intangible Assets	13	1,252,382,685	1,241,505,969	-	-
Biological Assets	14	50,381,950	48,281,950	-	-
Investment Property	15	3,612,851,650	1,688,188,153	30,500,000	29,000,000
Investment in Subsidiaries	16	-	-	4,872,609,624	5,149,202,174
Other Financial Assets	17	23,236,379	22,451,836	-	-
Deferred Tax Asset	25	160,761,323	274,360,132	17,202,174	18,270,536
Deposit with Colombo Stock Exchange		2,787,729	2,782,406	-	-
		<u>10,217,822,249</u>	<u>8,742,731,759</u>	<u>4,936,734,427</u>	<u>5,196,918,818</u>
Current Assets					
Inventories	18	4,240,916,106	3,758,051,548	-	-
Other Financial Assets	17	1,910,753,871	2,409,055,752	895,107,720	757,790,604
Trade & Other Receivables	19	6,005,043,760	4,009,655,688	88,663,548	104,265,555
Income Tax Recoverable		37,933,868	16,476,850	-	-
Cash & Cash Equivalents	20	611,908,960	1,999,187,137	1,212,412	372,368
		<u>12,812,556,265</u>	<u>12,192,426,974</u>	<u>985,073,680</u>	<u>862,428,527</u>
Total Assets		<u>23,030,378,514</u>	<u>20,935,158,732</u>	<u>5,921,813,107</u>	<u>6,059,847,345</u>
EQUITY AND LIABILITIES					
Equity					
Stated Capital	21	1,053,643,405	1,053,643,405	1,053,643,405	1,053,643,405
Foreign Currency Translation Reserve		(258,957,376)	(435,510)	-	-
Retained Earnings		1,730,353,845	2,140,513,431	517,675,172	1,033,409,287
Amalgamation Reserve	21	-	-	258,920,263	258,920,263
Fair Value through OCI Reserve		(209,184,472)	-	-	-
Revaluation Reserves		1,186,791,520	856,717,592	-	-
Equity Attributable to Equity Holders of the Company		<u>3,502,646,922</u>	<u>4,050,438,918</u>	<u>1,830,238,840</u>	<u>2,345,972,955</u>
Non Controlling Interests		3,098,213,414	2,428,238,516	-	-
Total Equity		<u>6,600,860,336</u>	<u>6,478,677,434</u>	<u>1,830,238,840</u>	<u>2,345,972,955</u>
Non-Current Liabilities					
Other Financial Liabilities	27	21,886,803	32,935,638	20,965,777	32,038,552
Interest Bearing Loans & Borrowings	22	2,756,476,036	1,562,021,994	2,748,685,133	-
Retirement Benefit Obligations	23	400,791,670	410,048,970	-	4,615,058
Deferred Tax Liability	25	810,764,286	620,479,220	-	-
		<u>3,989,918,795</u>	<u>2,625,485,822</u>	<u>2,769,650,910</u>	<u>36,653,610</u>
Current Liabilities					
Trade and Other Payables	26	4,922,462,303	3,678,206,382	43,669,324	31,460,607
Income Tax Payable		193,412,133	177,629,834	-	-
Contract Liability	24	706,864,079	748,150,496	-	-
Interest Bearing Loans & Borrowings	22	6,616,860,868	7,227,008,764	1,278,254,033	3,645,760,172
		<u>12,439,599,383</u>	<u>11,830,995,476</u>	<u>1,321,923,357</u>	<u>3,677,220,779</u>
Total Equity and Liabilities		<u>23,030,378,514</u>	<u>20,935,158,732</u>	<u>5,921,813,107</u>	<u>6,059,847,345</u>
Net Assets Per Share (Rs.)	11	3.49	4.04	1.83	2.34

I certify that the Financial Statements have been prepared in compliance with the requirements of Companies Act No. 07 of 2007.


 Haritha C. Perera
 Chief Financial Officer

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the Board by:


 Ajith Devasurendra
 Deputy Chairman


 Murali Prakash
 Group Managing Director/ Chief Executive Officer

The Notes from pages 12 to 76 form an integral part of these Financial Statements.
 Figures in brackets indicate deductions.



STATEMENT OF CHANGES IN EQUITY

Year ended 31 March 2019

GROUP	Notes	Stated Capital LKR	Fair Value through OCI Reserve LKR	Revaluation Reserve LKR	Attributable to Equity Holders of the Group		Non Controlling Interests LKR	Total Equity LKR
					Foreign Currency Translation Reserve LKR	Retained Earnings LKR		
As at 31 March 2017		1,053,643,405	-	445,801,569	(394,995)	2,016,509,172	2,069,496,197	5,385,055,348
Profit for the year		-	-	-	-	151,541,224	230,755,575	382,296,799
Profit for the year		-	-	410,916,023	(40,515)	(16,559,679)	130,184,490	524,500,319
Total Comprehensive Income for the year		-	-	410,916,023	(40,515)	134,981,545	360,940,065	906,797,118
Transactions with owners of the Group								
Contributions and Distributions								
Subsidiary Dividend Paid to Minority Share Holders	35.1	-	-	-	-	-	(12,248,532)	(12,248,532)
Total Contributions and Distributions		-	-	-	-	-	(12,248,532)	(12,248,532)
Effect of Change in Percentage Holding in Subsidiary								
Total changes in ownership interest		-	-	-	-	(10,977,286)	10,050,786	(926,500)
Total Transactions with owners of the Group		-	-	-	-	(10,977,286)	10,050,786	(926,500)
Balance as at 31 March 2018		1,053,643,405	-	856,717,592	(435,510)	2,140,513,431	(2,197,746)	(13,175,031)
Impact of adopting SLFRS 9	28.3	-	(83,979,949)	-	-	10,735,990	2,428,238,516	6,478,677,434
Restated- Balance as at 1 April 2018		1,053,643,405	(83,979,949)	856,717,592	(435,510)	2,151,249,421	2,374,960,015	11,26,533,400
Profit for the year		-	-	-	-	47,147,271	466,088,670	513,235,941
Other Comprehensive Income		-	(125,204,523)	335,884,768	(258,521,866)	22,570,292	47,124,609	21,853,280
Total Comprehensive Income for the year		-	(125,204,523)	335,884,768	(258,521,866)	69,717,563	513,213,279	535,089,221
Revaluation Reserve Transfer		-	-	(5,810,840)	-	5,810,840	-	-
Transactions with owners of the Group								
Contributions and Distributions								
Subsidiary Dividend Paid to Minority Share Holders	35.1	-	-	-	-	-	(171,181,230)	(171,181,230)
Dividends paid (LKR 0.36 per share)	21.3	-	-	-	-	(360,980,933)	-	(360,980,933)
Total Contributions and Distributions		-	-	(5,810,840)	-	(355,170,093)	(171,181,230)	(532,162,163)
Effect of Change in Percentage Holding in Subsidiary								
Total changes in ownership interest		-	-	-	-	(135,443,046)	381,221,350	245,778,304
Total Transactions with owners of the Group		-	-	-	-	(135,443,046)	381,221,350	245,778,304
Balance as at 31 March 2019		1,053,643,405	(209,184,472)	1,186,791,520	(258,957,376)	1,730,353,845	3,098,213,414	6,000,860,346

The Company and its subsidiaries for the year ended 31 March 2019 form an integral part of these Financial Statements

The figures in brackets indicate deductions



Ambeon Capital PLC

STATEMENT OF CHANGES IN EQUITY

Year ended 31 March 2019

COMPANY

	Stated Capital	Amalgamation Reserve	Retained Earnings	Total Equity
	LKR	LKR	LKR	LKR
Balance as at 31 March 2017	1,053,643,405	-	602,698,453	1,656,341,858
Profit for the year	-	-	-	-
Other Comprehensive Income	-	-	430,592,783	430,592,783
Net Result to the Equity on Amalgamation	-	-	118,052	118,052
Total Comprehensive Income for the year	-	258,920,263	-	258,920,263
	-	258,920,263	430,710,835	689,631,098
Balance as at 31 March 2018	1,053,643,405	258,920,263	1,033,409,288	2,345,972,956
Loss for the year	-	-	-	-
Other Comprehensive Income	-	-	(154,753,183)	(154,753,183)
Net Result to the Equity on Amalgamation	-	-	-	-
Total Comprehensive Income for the year	1,053,643,405	258,920,263	(154,753,183)	(154,753,183)
Dividends paid (LKR 0.36 per share)	-	-	(360,980,933)	(360,980,933)
Balance as at 31 March 2019	1,053,643,405	258,920,263	517,675,172	1,830,238,840

The Notes from pages 12 to 76 form an integral part of these Financial Statements
Figures in bracket indicate deductions



Ambeon Capital PLC
STATEMENT OF CASH FLOWS
Year ended 31 March 2019

		Group		Company	
	Notes	2019 LKR	2018 LKR	2019 LKR	2018 LKR
Cash Flows From Operating Activities					
Profit (Loss) before Taxation		915,425,175	286,330,112	(153,684,821)	413,268,169
Profit (Loss) before tax from Discontinuing Operations	4	(659,193)	13,144,636	-	-
Adjustment for					
Depreciation of Property, Plant & Equipment	12	382,674,182	340,343,584	4,018,479	289,906
Interest on Other Financial Liabilities		23,940	23,940	-	-
Impairment of Goodwill		(171,371,893)	-	-	-
Amortization of Intangible Assets	13	8,304,754	12,314,099	-	-
Change in Fair Value of Financial Assets Held for Sale		145,624,635	(222,469,300)	-	-
Provision for Retirement Benefit Obligation	23	80,836,405	62,963,136	-	890,966
Change in Fair Value of Investment Property	15	(831,355,019)	(237,834,192)	(1,500,000)	(4,000,000)
Profit from Disposal of Current Investment		9,934,834	-	-	-
Amortization of Deferred Income	24	-	(387,745)	-	-
Gain on disposal of Property, Plant & Equipment	7	(7,155,621)	(1,277,631)	-	-
Impairment of provision of Trade and Other Receivables	19.2	2,133,261	25,569,882	-	2,083,386
Changes in fair value of Biological Assets	14	(2,100,000)	(2,400,000)	-	-
Interest Income of Deposit with CSE		-	(32,406)	-	-
Fixed Assets Write Off		-	-	-	-
(Reversal) Provision of investment in subsidiaries	16	-	-	8,443,568	(218,707,472)
Gain on Loan Write Back		(153,859,921)	-	-	-
Provision (Reversal) of provision on Inventories	18	(123,686,758)	81,134,087	-	-
Interest Expense	8	1,017,922,140	829,580,187	-	-
Gain on disposal of Assets Held for Sale		-	(47,223,506)	-	-
Gain on Disposal of Subsidiary		-	-	(531,286)	(609,911,667)
Employee Share Appreciation Rights	27	1,174,613	61,612,600	1,174,613	61,612,600
Operating Profit before Working Capital Changes		1,273,865,534	1,201,391,483	(142,079,447)	(354,474,112)
Increase in Inventories		(606,551,316)	(980,719,808)	-	-
(Increase)/Decrease in Trade & Other Receivables		(2,166,898,420)	(676,601,091)	16,102,007	(61,003,692)
Increase (Decrease) in Contract Liability		(41,286,417)	241,731,816	-	-
Increase (Decrease) in Trade & Other Payable		1,244,255,921	336,598,342	(38,672)	(2,915,202)
Cash Generated from Operations		(296,614,698)	122,400,742	(126,016,112)	(418,393,006)
Retirement Gratuity Paid	23	(62,910,528)	(35,677,973)	(4,615,058)	-
Interest Paid		(430,533,726)	(802,990,718)	-	-
Income Tax Paid		(165,590,742)	(158,388,903)	-	-
Net Cash Flow from/ (used in) Operating Activities		(955,649,694)	(874,656,852)	(130,631,170)	(418,393,006)
Cash Flow from Investing Activities					
Acquisition of Property, Plant & Equipment	12	(676,343,256)	(196,550,798)	(20,000,000)	(38,500)
Investment in Subsidiaries		-	-	(30,000,000)	-
Acquisition from other financial assets		(543,004,020)	(978,464,969)	-	-
Acquisition of Intangible Assets	13	(19,181,470)	(9,948,144)	-	-
Acquisition of Investment Properties	15	(7,542,453)	(4,835,475)	-	-
Disposal of Other Financial Assets		501,697,082	538,848,506	-	-
Assets Classified as Held for Sale		-	(7,706,197)	-	-
Liabilities Directly Associated with Assets Classified as Held For Sale		-	(3,732,224)	-	-
Net Proceeds from Government Securities		(137,407,115)	13,715,047	(137,407,115)	(613,846,352)
Proceeds from disposal of Subsidiaries		-	-	298,680,270	671,345,000
Investment in Subsidiaries		-	(122,684,068)	-	(513,416,776)
Redemption of Preference Shares		-	-	-	560,000,000
Proceed from Assets Held for Sales		-	1,000,000,000	-	-
Proceeds on Disposal of Property, Plant & Equipment		38,159,725	23,129,099	-	-
Investment in Current Assets		(30,399,815)	-	-	-
Net Cash Flow From / (Used) in Investing Activities		(874,021,322)	251,770,777	111,273,155	104,043,372
Cash Flow from Financing Activities					
Loan Received		80,765,246,188	181,358,319,324	68,482,453,133	173,334,199,226
Dividend Paid to Non-Controlling Interest	35.1	(171,181,230)	(12,248,531)	-	-
Effect of Exchange Rate Changes in Loans & Borrowings		(2,233,893)	30,783,651	-	-
Repayment of Finance Lease	21.2	(3,400,000)	(3,400,000)	-	-
Proceeds from Non-Controlling Interest Through Holding Change		245,778,304	-	-	-
Repayment of Loans		(78,693,383,252)	(178,927,746,614)	(66,126,149,624)	(173,162,993,569)
Dividend paid to equity holders of parent	21.3	(360,980,933)	-	(360,980,933)	-
Net Cash Flow Used in Financing Activities		1,779,845,184	2,445,707,830	1,995,322,576	171,205,657
Net Increase/(Decrease) in Cash & Cash Equivalent during the year		(49,825,832)	1,822,821,755	1,975,964,561	(143,143,977)
Cash & Cash Equivalents					
Net movement during the year		(49,825,832)	1,822,821,755	1,975,964,561	(143,143,977)
At the beginning of the year		(761,812,454)	(2,584,634,209)	(2,009,722,837)	(1,866,578,860)
At the end of the year (Note A)	20	(811,638,286)	(761,812,454)	(33,758,276)	(2,009,722,837)

Note A-Cash and Equivalents are as follows

At the end of the year	611,908,960	1,999,187,137	1,212,412	372,368
At the beginning of the year	(1,423,547,246)	(2,760,999,591)	(34,970,688)	(2,010,095,305)
At the end of the year	(811,638,286)	(761,812,454)	(33,758,276)	(2,009,722,837)

The Notes on pages 42 to 76 form an integral part of these Financial Statements
Figures in bracket indicate deductions



1. CORPORATE INFORMATION

1.1 Reporting Entity

Ambeon Capital PLC is a public limited liability Company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The registered office and the principal place of Business are located at 01st Floor, No 10, Gothami Road, Colombo 08.

1.2 Consolidated Financial Statements

The Financial Statements for the year ended 31 March 2019, comprise "the Company" referring to Ambeon Capital PLC as the holding Company and "the Group" referring to the companies whose accounts have been consolidated therein.

1.3 Parent Entity

The Company's ultimate parent is CHC Investment (Private) Limited, Private Limited Liability Company incorporated and domiciled in Sri Lanka.

1.4 Approvals of Financial Statements

The Financial Statements for the year ended 31 March 2019 were authorized for issue in accordance with a resolution by the board of directors on 13 August 2019.

1.5 Principal Activities & Nature of Operations

Holding Company

Ambeon Capital PLC, the Group's holding Company, operated as the Investments holding company of the Group and is presently engaged in carrying out investment related activities.

Subsidiary – Ambeon Holdings PLC

Ambeon Holdings PLC, manages a portfolio of holdings consisting of a range of diverse business operations, which together constitute the Ambeon Group, and provides function-based services to its subsidiaries and associates. Subsidiaries of the group were engaged in manufacturing of footwear, porcelain, textiles and managing property, IT services and investments.

Subsidiary- Lexinton Resorts (Pvt) Ltd

During the year, the principle activity of the Company was managing the real estate.

Subsidiary -Heron Agro Products (Pvt) Ltd

During the period, the principal activity of the company was involved in Estate Management.

Sub - subsidiary – through Ambeon Holdings PLC - Ceylon Leather Products Limited

During the period, the principal activities of the Company were manufacturing and selling of Leather, Leather Footwear and Leather Goods. This was a PLC company & has obtained delisting approval with effect from 01 June 2018, thereby the name was changed as Ceylon Leather Products Limited.

Sub-subsidiary - through Ceylon Leather Products Limited – Ceylon Leather Products Distributors (Pvt) Ltd

The principal activity of the Company was retail selling of Leather Footwear and Leather Goods.

Sub -subsidiary – through Ambeon Holdings PLC - South Asia Textile Ltd

During the year, the principal activity of the Company was manufacturing and sale of knitted fabrics for the export and local markets.

Sub- Subsidiary – through Ambeon Holdings PLC - Palla & Company (Pvt) Ltd

The principal activity of the Company was manufacturing shoes for exports and the Company ceased operations with effect from 31 August 2015.

Sub -subsidiary – through Ambeon Holdings PLC Dankotuwa Porcelain PLC

During the period, the principal activity of the company was to manufacture porcelain tableware to export and



Sub-subsidiary through Dankotuwa Porcelain PLC – Royal Fernwood Porcelain Ltd

During the period, the principal activity of the company was to manufacture porcelain tableware to export and domestic market.

Sub-subsidiary through Dankotuwa Porcelain PLC – Lanka Decals (Pvt) Ltd

The principal activity of the Company was to manufacture Decals. However, there were no operations during the year.

Sub-subsidiary through Dankotuwa Porcelain PLC – Fernwood Lanka (Pvt) Ltd

The principal activity of the Company was the sale of porcelain tableware to domestic market. However, there were no operations during the year.

Sub-subsidiary through Dankotuwa Porcelain PLC - DPL Trading (Private) Limited

The principal activity of the Company was retail selling of porcelain tableware domestic market.

Sub-subsidiary through Ambeon Holdings PLC - Colombo City Holdings PLC

During the period, the principal activity of the Company was to engage in Real Estate

Sub-subsidiary - through Colombo City Holdings PLC - Lexinton Holdings (Pvt) Ltd

On 31.01.2019 Colombo City Holdings PLC acquired 100% stake in Lexinton Holdings (Pvt) Ltd which was a subsidiary of Ambeon Capital PLC. During the period, the principal activity of the company was lending & maintaining commercial property, dwelling flats for lease.

Sub -subsidiary – through Ambeon Holdings PLC - Olancom (Pvt) Ltd

The Company is the Investment Holding Company of Roomsnet International Limited.

Sub -subsidiary – through Ambeon Holdings PLC - Millennium I.T.E.S.P. (Pvt) Limited

During the period, the principal activity of the Company was specializing in the Integration Business provides a host of specialized, scalable solutions ranging from Core Infrastructure, Information Security, Business Collaboration, Near-Field Communications, Business Productivity, Managed Solutions and Customer Relationship Management.

Sub - subsidiary – through Ambeon Holdings PLC - Eon Tec (Private) Limited

The Company is the Investment Holding Company

Sub - subsidiary - through Ambeon Holdings PLC - Taprobane Capital Plus (Pvt) Ltd

Taprobane Capital Plus (Private) Limited was incorporated to hold the investments Taprobane Securities (Private) Limited, Taprobane Investments (Private) Limited, Taprobane Wealth Plus (Private) Limited & Lexinton Financial Services (Pvt) Ltd.

Sub-subsidiary through Taprobane Capital Plus (Pvt) Ltd - Taprobane Securities (Private) Limited

The principal activity of the company is functioning as a stock broker in the Colombo Stock Exchange.

Sub-subsidiary through Taprobane Capital Plus (Pvt) Ltd - Taprobane Investments (Private) Limited

The principal activity of the company is conducting Money Broking transactions in the open market.

Sub-subsidiary through Taprobane Capital Plus (Pvt) Ltd - Taprobane Wealth Plus (Private) limited

The principal activity of the company is conducting Corporate Finance activities. However, there were no operations during the year

Sub-subsidiary through Taprobane Capital Plus (Pvt) Ltd – Lexinton Financial Services (Private) limited

Taprobane Capital Plus (Pvt) Ltd acquired 100% of Lexinton Financial Services (Pvt) Ltd from Lexinton Holdings (Pvt) Ltd on 30.11.2018. The principal activity of the company was conducting Margin Trading activities. However, there were no operations during the year.

1.6 Responsibility for Financial Statements

The responsibility of the Directors in relation to the Financial Statements is set out in the Statement of Directors' Responsibility report in the Annual report.



2. BASIS OF PREPARATION**2.1 Basis of Measurement**

The consolidated Financial Statements have been prepared on an accrual basis and under the historical cost convention except for investment properties, land and buildings, derivative financial instruments, fair value through profit or loss financial assets, available-for-sale financial assets (before 31/03/2018), financial instruments Fair Value Through Other Comprehensive Income (from 01/04/2018) that have been measured at fair value.

2.2 Statement of Compliance

The Financial Statements which comprise the Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity and the Statement of Cash Flows together with the Accounting Policies and notes (the "Financial Statements") have been prepared in accordance with Sri Lanka Accounting Standards (SLFRS/LKAS) as issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and the requirement of the Companies Act No. 7 of 2007.

2.3 Comparative Information

The presentation and classification of the Financial Statements of the previous years have been amended, where relevant for better presentation and to be comparable with those of the current year. Refer Note 2.9 for adaption of SLFRS 9 and 15 and Note 36 for the SLFRS 3.

2.4 Going Concern

The Board of Directors have made an assessment of the Group's ability to continue as a going concern and they do not intend either to liquidate or cease trading.

2.5 Presentation and Functional Currency

The consolidated Financial Statements are presented in Sri Lankan Rupees, the Group's functional and presentation currency, which is the primary economic environment in which the Holding Company operates. Each entity in the Group uses the currency of the primary economic environment in which they operate as their functional currency.

The subsidiary mentioned below is using functional currency other than Sri Lankan Rupees (LKR.).

Name of the Subsidiary	Functional Currency
South Asia Textile Limited	United States Dollar (USD)

2.6 Basis of Consolidation

The consolidated Financial Statements comprise the Financial Statements of the Company and its subsidiaries as at 31 March 2019. The Financial Statements of the subsidiaries are prepared in compliance with the Group's accounting policies unless otherwise stated.

All intra-Group balances, income and expenses, unrealized gains and losses resulting from intra-Group transactions and dividends are eliminated in full.



2.7 Subsidiary

Control over an investee is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

When the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; and
- The Group's voting rights and potential voting rights

The Group re-assesses whether or not it controls an investee, if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated Financial Statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. The Financial Statements of the subsidiaries are prepared for the same reporting period as the parent Company, which is 12 months ending 31 March, using consistent accounting policies.

- a. Losses within a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance.
- b. A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.
- c. If the Group loses control over a subsidiary, it:
 - Derecognizes the assets (including goodwill) and liabilities of the subsidiary
 - Derecognizes the carrying amount of any non-controlling interest
 - Derecognizes the cumulative translation differences, recorded in equity
 - Recognizes the fair value of the consideration received
 - Recognizes the fair value of any investment retained
 - Recognizes any surplus or deficit in profit or loss
 - Reclassifies the parent's share of components previously recognized in other comprehensive income to profit or loss or retained earnings, as appropriate.

The total profits and losses for the year of the Company and of its subsidiaries included in consolidation are shown in the consolidated income statement and statement of comprehensive income and all assets and liabilities of the Company and of its subsidiaries included in consolidation are shown in the statement of financial position.

Non-controlling interest which represents the portion of profit or loss and net assets not held by the Group, are shown as a component of profit for the year in the consolidated income statement and statement of comprehensive income and as a component of equity in the consolidated statement of financial position, separately from parent's shareholders' equity.

The consolidated statement of cash flow includes the cash flows of the Company and its subsidiaries. In the separate financial statement investment in subsidiaries are accounted at cost.



2.8 Transactions with Non-Controlling Interests

The profit or loss and net assets of a subsidiary attributable to equity interests that are not owned by the parent, directly or indirectly through subsidiaries, is disclosed separately under the heading 'Non-Controlling Interest'.

The Group applies a policy of treating transactions with non-controlling interests as transactions with parties external to the Group.

Losses within a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance.

2.9 Significant Accounting Judgements Estimates and Assumptions

Summary of Significant Accounting Policies

Except for the Changes in Significant Accounting Policies given below the accounting policies have been applied consistently for all periods presented in the financial statements by the Group and the Company.

Changes in Significant Accounting Policies – Adoption of New Accounting Standards

The Group initially applied SLFRS 15 - Revenue from Contracts with Customers and SLFRS 09 - Financial Instruments from 1st April 2018. Due to the transition methods chosen by the Group in applying these standards, comparative information throughout these financial statements has not been restated to reflect the requirements of the new standards.

- **SLFRS 15 Revenue from Contracts with Customers**

SLFRS 15 Revenue from Contracts with Customers supersedes LKAS 11 Construction Contracts, LKAS 18 Revenue and related Interpretations and it applies to all revenue arising from contracts with customers, unless those contracts are in the scope of other standards. The new standard establishes a five-step model to account for revenue arising from contracts with customers. Under SLFRS 15, revenue is recognised at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer.

The standard requires entities to exercise judgement, taking into consideration all of the relevant facts and circumstances when applying each step of the model to contracts with their customers. The standard also specifies the accounting for the incremental costs of obtaining a contract and the costs directly related to fulfilling a contract. Based on the impact assessment performed, the Group concluded that SLFRS 15 does not have a material impact on the Group's consolidated financial statements.

- **SLFRS 9 - Financial Instruments**

SLFRS 9 contains three principal classification categories for financial assets: measured at amortized cost, FVOCI and FVTPL. The classification of financial assets under SLFRS 9 is generally based on the business model in which a financial asset is managed and its contractual cash flow characteristics. SLFRS 9 eliminates the previous LKAS 39 categories of held to maturity loans and receivables and available for sale. SLFRS 9 largely retains the existing requirements in LKAS 39 for the classification and measurement of financial liabilities.

Changes in accounting policies resulting from the adoption of SLFRS 9 have been applied retrospectively, except as described below.

The Group has used an exemption not to restate comparative information for prior periods with respect to classification and measurement (including impairment) requirements. Therefore, comparative periods have not been restated. Differences in the carrying amounts of financial assets and financial liabilities resulting from the adoption of SLFRS 9 are recognised in retained earnings and reserves as at 1 April 2018. Accordingly, the information presented for 2017/18 does not generally reflect the requirements of SLFRS 9, but rather those of LKAS 39. The effect of adopting SLFRS 9 on the carrying amounts of financial assets at 1 April 2018 relates to the new impairment requirements. Impact of adopting SLFRS 9 - "Financial Instruments" refer the



2.10 Significant Judgments, estimates and assumptions

The preparation of the Financial Statements of the Group require the management to make judgments, estimates and assumptions, which may affect the amounts of income, expenditure, assets, liabilities and the disclosure of contingent liabilities, at the end of the reporting period. In the process of applying the Group's accounting policies, the key assumptions made relating to the future and the sources of estimation at the reporting date together with the related judgments that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the financial year are discussed below.

- **Revaluation of property, plant and equipment and fair valuation of investment properties**

The Group measures land and buildings at revalued amounts with changes in fair value being recognized in Other Comprehensive Income and in the Statement of Changes in Equity. In addition, it carries its investment properties at fair value, with changes in fair value being recognized in the statement of profit or loss. The Group engaged independent valuation specialists to determine fair value of investment property and land and buildings as at 31 March 2019.

The valuer has used valuation techniques such as market approach, cost approach and income approach.

The methods used to determine the fair value of the investment property and property plant and equipment's carried at fair value are further explained in Note 12 and Note 15.

- **Impairment of non-financial assets**

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its value in use (VIU). The fair value less costs to sell calculation is based on available data from an active market, in an arm's length transaction, of similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash inflows and the growth rate used for extrapolation purposes.

The key assumptions used to determine the value in use (VIU) are further explained in Note 13.2

- **Fair value of financial instruments**

Where the fair value of financial assets and financial liabilities recorded in the statement of financial position cannot be derived from active markets, their fair value is determined using valuation techniques including the discounted cash flow model. The inputs to these models are taken from observable markets where possible. Where this is not feasible, a degree of judgment is required in establishing fair values. The judgments include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments. Refer Note No.28 for financial instrument classification and fair value hierarchy.

- **Deferred Tax Assets/ Liabilities**

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and the level of future taxable profits together with future tax planning strategies. Further details on taxes are disclosed in Note 25.

- **Employee benefit liability**

The employee benefit liability of the Group determines using actuarial valuation carried out by an independent actuarial specialist. The actuarial valuations involve making assumptions about discount rates and future salary increases. The complexity of the valuation, the underlying assumptions and its long-term nature, the defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

Details of the key assumptions used in the estimates are contained in Note 23.



2.11 Summary of Significant Accounting Policies

The presentation and classification of the Financial Statements of the previous period have been amended, where relevant, for better presentation and to be comparable with those of the current period.

These accounting policies have been applied consistently by Group's entities.

2.11.1 Revenue from contract with customers

Revenue from contracts with customers is recognized when control of the goods or services is transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those goods or services.

a. Goods transferred at a point in time

Under SLFRS 15, revenue is recognized upon satisfaction of a performance obligation. The revenue recognition occurs at a point in time when control of the asset is transferred to the customer, generally, on delivery of the goods.

b. Revenue recognition multiple element arrangements

The Group recognizes revenue on multiple element arrangements and design and build software contracts. Multiple element arrangements require management judgment in determining unit of accounting for such arrangement. Design and build software contracts uses percentage of completion method relies on output method, which is the contract milestones, supported by user acceptance confirmation.

c. Rendering of services

Under SLFRS 15, the Group determines, at contract inception, whether it satisfies the performance obligation over time or at a point in time. For each performance obligation satisfied over time, the Group recognizes the revenue over time by measuring the progress towards complete satisfaction of that performance obligation.

d. Dividend

Dividend income is recognized when the Group's right to receive the payment is established.

e. Finance income

Finance income comprises interest income on funds invested, dividend income, gains on the disposal of available-for-sale financial assets, (before 31/03/2018) fair value gains on the financial assets at fair value through profit or loss, gains on the re-measurement to fair value of any pre-existing interest in an acquiree that are recognized in income statement.

Interest income or expense is recorded as it accrues using the Effective Interest Rate (EIR), which is the rate that exactly discounts the estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or liability. Interest income is included in finance income in the income statement.

f. Commissions

When the Group acts in the capacity of an agent rather than as the principal in a transaction, the revenue recognised is the net amount of commission made by the Group.

g. Rental Income

Rental income arising from operating leases on investment properties is accounted for on a straight-line basis over the lease terms.

h. Gains and losses

Net gains and losses of a revenue nature arising from the disposal of property, plant and equipment and other noncurrent assets, including investments, are accounted for in the income statement, after deducting from the proceeds on disposal, the carrying amount of such assets and the related selling expenses.

Chartered Other income is recognized on an accrual basis.



2.11.2 Expenditure recognition

Expenses are recognized in the income statement on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the income statement.

For the purpose of presentation of the income statement, the "function of expenses" method has been adopted, on the basis that it presents fairly the elements of the Company and Group's performance.

2.11.3 Finance costs

Finance costs comprise interest expense on borrowings, unwinding of the discount on provisions, losses on disposal of available for- sale financial assets, (before 31/03/2018) fair value losses on financial assets at fair value through profit or loss, impairment losses recognized on financial assets (other than trade receivables) that are recognized in the income statement.

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the respective assets. All other borrowing costs are expensed in the period they occur. Borrowing costs consist of interest and other costs that the Group incurs in connection with the borrowing of funds.

2.11.4 Property, plant and equipment***Basis of recognition***

Property, plant and equipment are recognized if it is probable that future economic benefits associated with the asset will flow to the Group and the cost of the asset can be reliably measured.

Basis of measurement

Plant and equipment are stated at cost less accumulated depreciation and any accumulated impairment losses, (except for land and building). Such cost includes the cost of replacing component parts of the plant and equipment and borrowing costs for long-term construction projects if the recognition criteria are met. When significant parts of plant and equipment are required to be replaced at intervals, the Group derecognizes the replaced part, and recognizes the new part with its own associated useful life and depreciation. Likewise, when a major inspection is performed, its cost is recognized in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognized in the income statement as incurred.

Land and buildings are measured at fair value less accumulated depreciation on buildings and impairment charged subsequent to the date of the revaluation.

The carrying values of property, plant and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable.

Any revaluation surplus is recognized in other comprehensive income and accumulated in equity in the asset revaluation reserve, except to the extent that it reverses a revaluation decrease of the same asset previously recognized in the income statement, in which case the increase is recognized in the income statement. A revaluation deficit is recognized in the income statement, except to the extent that it offsets an existing surplus on the same asset recognized in the asset revaluation reserve.

Accumulated depreciation as at the revaluation date is eliminated against the gross carrying amount of the asset and the net amount is restated to the revalued amount of the asset. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

The fair valuation are perform with every 5 year to ensure that the carrying amount of the revalued assets do not differ materiality from their fair value.



Derecognition

An item of property, plant and equipment are derecognized upon replacement, disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset is included in the income statement in the year the asset is derecognized.

Depreciation

Depreciation is calculated by using a straight-line method on the cost or valuation of all property, plant and equipment, other than freehold land, in order to write off such amounts over the estimated useful economic life of such assets.

Depreciation methods, useful life values are assessed at the reporting date. The estimated useful lives for the current year are as follows.

Assets Category	2018/19	2017/18
Land Development Cost	10 Years	10 Years
Buildings	10-50 Years	10-50 Years
Plant & Machinery	10-15 Years	10-15 Years
Tools & Equipment	5-18 Years	5-18 Years
Furniture Fittings & Office Equipment	5-7 Years	5-7 Years
Motor Vehicles	4-6 Years	4-6 Years
Waste-water Purification Project	15 Years	15 Years
Kilns & Kiln Furniture	3-15 Years	3-15 Years
Computer Equipment	1-5 Years	1-5 Years

2.11.5 Leases

The determination of whether an arrangement is, or contains, a lease is based on the substance of the arrangement at the inception date. The arrangement is assessed for whether fulfillment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

A leased asset is depreciated over the useful life of the asset. However, if there is no reasonable certainty that the Group will obtain ownership by the end of the lease term, the asset is depreciated over the shorter of the estimated useful life of the asset and the lease term.

Operating lease payments are recognized as an operating expense in the income statement on a straight-line basis over the lease term.

2.11.6 Lease rentals paid in advance (Leasehold Properties)

Prepaid lease rentals paid to acquire land use rights are amortized over the lease term in accordance with the pattern of benefits provided.

2.11.7 Biological Assets

The entity recognizes the biological assets when, and only when, the entity controls the assets as a result of a past event, it is probable that future economic benefits associated with the assets will flow to the entity and the fair value for cost of the assets can be measured reliably. Biological assets are classified into mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain regular harvests. Immature biological assets are those that have not yet attained harvestable specifications.

The cost of the land preparation, rehabilitation, new planting, replanting, crop diversifications, inter-planting



and fertilizing, etc., incurred between the time of planting and harvesting (when the planted area attains maturity), are classified as immature plantations. These immature plantations are shown at direct costs plus attributable overheads, including interest attributable to long-term loans used for financing immature plantations. The expenditure incurred on bearer biological assets (Tea, Rubber fields) which comes into bearing during the year, is transferred to mature plantations. Expenditure incurred on consumable biological assets is recorded at cost at initial recognition and thereafter at fair value at the end of each reporting period. Biological assets are further classified as bearer biological assets and consumable biological assets.

a. Bearer Biological Assets

Bearer biological assets include tea, rubber & coconut trees that are not intended to be sold or harvested, but are grown for harvesting agricultural produce from such biological assets. The bearer biological assets are measured at cost less accumulated depreciation and accumulated impairment losses, if any, in terms of LKAS 16 – Property Plant & Equipment.

b. Consumable Biological Assets

Consumable biological assets include managed timber trees that are to be sold as biological assets. The managed timber trees are measured on initial recognition and at the end of each reporting period at its fair value less cost to sell in terms of LKAS 41. The cost is treated as approximation to fair value of young plants as the impact on biological transformation of such plants to price during this period is immaterial.

The gain or loss arising on initial recognition of biological assets at fair value less cost to sell and from a change in fair value less cost to sell of biological assets are included in Comprehensive Income Statement for the period in which it arises.

c. Infilling Cost on Bearer Biological Assets

Where infilling results in an increase in the economic life of the relevant field beyond its previously assessed standard of performance, the costs are capitalized and depreciated over the useful life at rates applicable to mature plantations. Infilling costs that are not capitalized have been charged to the Statement of comprehensive income in the year in which they are incurred.

2.11.8 Investment Property

Investment properties are measured initially at cost, including transaction costs. The carrying value of an investment property includes the cost of replacing part of an existing investment property, at the time that cost is incurred if the recognition criteria are met, and excludes the costs of day-to-day servicing of the investment property. Subsequent to initial recognition, the investment properties are stated at fair values, which reflect market conditions at the reporting date.

Gains or losses arising from changes in fair value are included in the income statement the year in which they arise. Fair values are evaluated at frequent intervals by an accredited external, independent valuer.

The unobservable data of the Investment Property are showing in the note no 15.4.1

Investment properties are derecognized when disposed, or permanently withdrawn from use because no future economic benefits are expected. Any gains or losses on retirement or disposal are recognized in the income statement in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property or inventory (WIP), the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use.



Where Group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant and equipment in the Consolidated Financial Statements, and accounted using Group accounting policy for property, plant and equipment.

2.11.9 Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less accumulated amortization and accumulated impairment losses, if any. Internally generated intangible assets, excluding capitalized development costs, are not capitalized and expenditure is recognized in the income statement when it is incurred.

The useful lives of intangible assets are assessed as either finite or indefinite. Intangible assets with finite lives are amortized over their useful economic lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life is reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortization period or method, as appropriate, and are treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognized in the income statement in the expense category consistent with the function of the intangible assets.

Intangible assets with indefinite useful lives are not amortized, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis. (Note No. 13)

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the income statement when the asset is derecognized.

2.11.10 Business combinations and goodwill

Acquisition of subsidiaries are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at the acquisition date fair value and the amount of any non-controlling interest in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interest in the acquiree at fair value or at the proportionate share of the acquiree at the fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred and included in administrative expenses.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

If the business combination is achieved in stages, the previously held equity interest is remeasured at its acquisition date fair value and any resulting gain or loss is recognized in profit or loss. Any contingent consideration to be transferred by the acquirer will be recognized at fair value at the acquisition date. Contingent consideration which is deemed to be an asset or liability that is a financial instrument and within the scope of SLFRS 9 Financial Instruments: Recognition and Measurement, is measured at fair value with changes in fair value either in profit or loss or as a change to other comprehensive income (OCI).

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognized for non-controlling interest over the net identifiable assets acquired and liabilities assumed. If this consideration is lower than the fair value of the net assets of the subsidiary acquired, the difference is recognized in profit or loss.



After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Impairment is determined by assessing the recoverable amount of the cash-generating unit to which the goodwill relates as further explained in Note 13.1.1.

Where goodwill forms part of a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion the cash-generating unit retained.

2.11.11 Common Control Business Combinations

Business combinations between entities under common control are accounted for using pooling of interest method. Accordingly,

- The assets and liabilities of the combining entities are reflected at their carrying amounts.
- No new goodwill is recognised as a result of the combination. Any difference between the consideration paid/transferred and the equity acquired is reflected within equity.

2.11.12 Foreign currencies

Foreign currency transactions and balances

The Group's consolidated Financial Statements are presented in Sri Lankan Rupees, which is also the parent Company's functional currency. For each entity the Group determines the functional currency and items included in the Financial Statements of each entity are measured using that functional currency. The Group uses the direct method of consolidation and has elected to recycle the gain or loss arises from this method.

Transactions and balances

Transactions in foreign currencies are initially recorded by the Group entities at their respective functional currency spot rate at the date the transaction first qualifies for recognition.

Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency spot rate of exchange ruling at the reporting date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary measured at fair value is treated in line with the recognition of gain or loss on change in fair value in the item (i.e., the translation differences on items whose fair value gain or loss is recognized in other comprehensive income (OCI) or profit or loss are also recognized in OCI or profit or loss, respectively).

Foreign operations

The statement of financial position and income statement of overseas subsidiaries and the subsidiaries which are have functional currencies other than LKR, which are deemed to be foreign operations are translated to Sri Lanka rupees at the rate of exchange prevailing as at the reporting date and at the average annual rate of exchange for the period respectively.



The exchange differences arising on the translation are taken directly to other comprehensive income. On disposal of a foreign entity, the deferred cumulative amount recognized in other comprehensive income relating to that particular foreign operation is recognized in the income statement.

The Group treated goodwill and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition as assets and liabilities of the parent. Therefore, those assets and liabilities are non-monetary items already expressed in the functional currency of the parent and no further translation differences occur.

2.11.13 Impairment of non-financial assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is higher of asset's or cash generating unit's (CGU) fair value less costs to sell and its value in use. It is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

The Group bases its impairment calculation on detailed budgets and forecasts which are prepared separately for each of the Group's CGU to which the individual assets are allocated. These budgets and forecast calculations are generally covering a period of five years. For longer periods, a long-term growth rate is calculated and applied to project future cash flows after the fifth year.

Impairment losses of continuing operations, including impairment on inventories, are recognized in the income statement in those expense categories consistent with the function of the impaired asset, except for a property previously revalued where the revaluation was taken to other comprehensive income. In this case, the impairment is also recognized in other comprehensive income up to the amount of any previous revaluation.

For assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the Group estimates the asset's or CGU's recoverable amount. A previously recognized impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the income statement unless the asset is carried at a revalued amount, in which case the reversal is treated as a revaluation increase.

2.11.14 Government grants

Government grants are recognized where there is reasonable assurance that the grant will be received and all attached conditions will be complied with. When the grant relates to an expense item, it is recognized as income on a systematic basis over the periods that the costs, which it is intended to compensate, are expensed. Where the grant relates to an asset, it is recognized as income in equal amounts over the expected useful life of the related asset.

When the Group receives non-monetary grants, the asset and the grant are recorded gross at nominal amounts and released to profit or loss over the expected useful life in a pattern of consumption of the benefit of the underlying asset by equal annual installments.



When loans or similar assistance are provided by governments or related institutions with an interest rate below the current applicable market rate, the effect of this favorable interest is regarded as a government grant.

2.11.15 Taxes

a. Current income tax

Current income tax assets and liabilities for the current period are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date.

Current income tax relating to items recognized directly in equity is recognized in equity and not in the income statement. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

b. Deferred tax

Deferred tax is provided using the liability method on temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax liabilities are recognized for all taxable temporary differences, except:

- When the deferred tax liability arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.
- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognized for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilized, except:

- When the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.
- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognized outside profit or loss is recognized outside profit or loss. Deferred tax items are recognized in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current tax assets against current tax liabilities and when the deferred taxes relate to the same taxable entity and the same taxation authority.



Deferred tax assets and deferred tax liabilities are stated in the Note No. 25

c. Sales Tax

Revenues, expenses and assets are recognized net of the amount of sales tax except:

- where the sales tax incurred on a purchase of asset or service is not recoverable from the taxation authorities in which case the sales tax is recognized as a part of the cost of the asset or part of the expense item as applicable
- and
- receivable and payable that are stated with the amount of sales tax included.

The net amount of sales tax recoverable and payable in respect of taxation authorities is included as a part of receivables and payables in the Statement of Financial Position.

2.11.16 Non-current assets held for sale and discontinued operations

The Group classifies non-current assets and disposal groups as held for sale if their carrying amounts will be recovered principally through a sale rather than through continuing use. Non-current assets and disposal groups are measured at the lower of their carrying amount and fair value less costs to sell. The criteria for held for sale classification is regarded met only when the sale is highly probable and the asset or disposal group is available for immediate sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Discontinued operations are excluded from the results of continuing operations and are presented as a single amount as profit or loss after tax from discontinued operations in the income statement.

Property, plant and equipment and intangible assets once classified as held for sale/distribution to owners are not depreciated or amortized.

Additional disclosures are provided in Note 4. All other notes to the Financial Statements mainly include amounts for continuing operations, unless otherwise mentioned.

2.11.17 Inventories

Inventories are valued at the lower of cost and net realizable value, after making due allowances for obsolete and slow-moving items. Net realizable value is the price at which inventories can be sold in the ordinary course of business less the estimated cost of completion and the estimated cost necessary to make the sale.

The cost incurred in bringing inventories to its present location and condition is accounted using the following cost formula :-

Raw Materials	At purchase cost on weighted average basis
Finished Goods & Work-in-Progress	At the cost of direct materials, direct labour and an appropriate proportion of fixed production overheads based on normal operating capacity, but excluding borrowing Costs on weighted average basis.
Consumables & Spares	At purchase cost on weighted average basis
Goods in Transit	At purchase price



2.11.18 Financial instruments-initial recognition and subsequent measurement**Accounting Policy after 01 April 2018.**

The Group has adopted SLFRS 9 –Financial Instruments, SLFRS 15 - Revenue from Contracts with Customers, effective for annual periods beginning on or after 01 January 2018, for the first time. The Group has not adopted early any other standard, interpretation or amendment that has been issued but is not yet effective.

SLFRS 9 -Financial Instruments

The Group has initially adopted SLFRS 9 with the date of transition as 01 January 2018. The Group has not early adopted this standard in previous periods. The adoption of SLFRS 9 has resulted in changes in accounting policies for recognition, classification and measurement of financial assets and financial liabilities and impairment of financial assets. SLFRS 9 significantly amends the other standards dealing with financial instruments such as SLFRS 7 Financial Instruments: Disclosure.

As permitted by the transitional provisions of SLFRS 9, the Group elected not to restate comparative figures. Any adjustments to the carrying amounts of financial assets and liabilities, at the date of transition were recognized in the retained earnings as at 1 April 2018. Accordingly, the information presented for year 2017 /2018 does not reflect the requirements of SLFRS 9 and therefore not comparable to the information presented for the year 2018/2019 under SLFRS 9.

SLFRS 9 sets out the requirements for recognizing and measuring financial assets and financial liabilities. This standard replaces LKAS 39 Financial Instruments: Recognition and Measurement. The requirements of SLFRS 9 represent a significant change from LKAS 39. This new standard brings fundamental changes to the accounting for financial assets and to certain aspects of accounting for financial liabilities.

The key changes to the Group's accounting policies resulting from its adoption of SLFRS 9 are summarized below. The full impact of adopting SLFRS 9 is set out in Note 28.3 to the Financial Statements.

Classification of Financial Assets & Financial Liabilities

SLFRS 9 contains three principal classification categories for financial assets: measured at amortized cost, fair value through other comprehensive income (FVOCI) and Fair value through Profit & Loss (FVTPL). SLFRS 9 classification is generally based on the business model in which a financial asset is managed and its contractual cash flow characteristics. The LKAS 39 measurement categories of financial assets (fair value through profit or loss (FVPL), available for sale (AFS), held-to-maturity, loans & receivables and amortized cost) have been replaced by:

- Debt instruments at amortized cost
- Debt instruments at fair value through other comprehensive income (FVOCI), with gains or losses recycled to profit or loss on derecognition
- Equity instruments at FVOCI, with no recycling of gains or losses to profit or loss on derecognition
- Financial assets at FVPL

SLFRS 9 largely retains the existing requirements in LKAS 39 for classification of Financial Liabilities. However, although under LKAS 39 all fair value changes of liabilities designated under the fair value option were recognized in profit or loss, under SLFRS 9 fair value changes are generally presented as follows.

- The amount of change in the fair value that is attributable to changes in the credit risk of the liability is presented in OCI; and
- The remaining amount of change in the fair value is presented in profit or loss.

The Group's classification of its financial assets and liabilities is explained in Note 17 & 28 to the Financial Statements. The quantitative impact of applying SLFRS 9 as at 01 April 2018 is disclosed in Note 28.1 to the Financial Statements.



Impairment of financial assets

The adoption of SLFRS 9 has fundamentally changed the Group's accounting for loan loss impairments by replacing LKAS 39's Incurred Loss approach with a forward looking Expected Credit Loss (ECL) approach. The SLFRS 9 requires the Group to record an allowance for ECLs for all loans and other debt financial assets not held at FVTPL, together with loan commitments and financial guarantee contracts.

For trade receivables and contract assets, the group applies a simplified approach in calculating ECLs. Therefore, the group does not track changes in credit risk, but instead recognizes a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

Accounting Policy before 01 April 2018**a. Financial assets****Initial recognition and measurement**

Financial assets within the scope of LKAS 39 are classified as financial assets at fair value through profit or loss, loans and receivables, held-to-maturity investments, available-for-sale financial assets, or as derivatives designated as hedging instruments in an effective hedge, as appropriate. The Group determines the classification of its financial assets at initial recognition.

All financial assets are recognized initially at fair value plus transaction costs, in the case of assets not at fair value through profit or loss.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the marketplace (regular way trades) are recognized on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Subsequent measurement

The subsequent measurement of financial assets depends on their classification as described below:

Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss includes financial assets held-for-trading and financial assets designated upon initial recognition at fair value through profit or loss. Financial assets are classified as held-for-trading if they are acquired for the purpose of selling or repurchasing in the near term. This category includes derivative financial instruments entered into by the Group that are not designated as hedging instruments in hedge relationships as defined by LKAS 39. Derivatives, including separated embedded derivatives are also classified as held-for-trading unless they are designated as effective hedging instruments. Financial assets at fair value through profit and loss are carried in the statement of financial position at fair value with changes in fair value recognized in finance income or finance costs in the income statement.

The Group evaluates its financial assets held-for-trading, (other than derivatives), to determine whether the intention to sell them in the near term is still appropriate. When the Group is unable to trade these financial assets due to inactive markets and management the Group may elect to reclassify these financial assets in rare circumstances. The reclassification to loans and receivables, available-for-sale or held-to-maturity depends on the nature of the asset. This evaluation does not affect any financial assets designated at fair value through profit or loss using the fair value option at designation.



Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest rate method (EIR), less impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included in finance income in the income statement. The losses arising from impairment are recognized in the income statement in finance costs.

Held-to-maturity investments

Non-derivative financial assets with fixed or determinable payments and fixed maturities are classified as held-to-maturity when the Group has the positive intention and ability to hold them to maturity. After initial measurement, held-to-maturity investments are measured at amortized cost using the effective interest method, less impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included in finance income in the income statement. The losses arising from impairment are recognized in the income statement in finance costs.

Available-for-sale financial investments

Available-for-sale financial investments include equity and debt securities. Equity investments classified as available-for-sale are those, neither classified as held-for-trading nor designated at fair value through profit or loss. Debt securities in this category are those which are intended to be held for an indefinite period of time and which may be sold in response to needs for liquidity or in response to changes in the market conditions.

After initial measurement, available-for-sale financial investments are subsequently measured at fair value with unrealized gains or losses recognized as other comprehensive income in the available-for-sale reserve until the investment is derecognized, at which time, the cumulative gain or loss is recognized in other operating income, or determined to be impaired, at which time the cumulative loss is reclassified to the income statement in finance costs and removed from the available-for-sale reserve. Interest income on available-for-sale debt securities is calculated using the effective interest method and is recognized in profit or loss.

The Group evaluates its available-for-sale financial assets to determine whether the ability and intention to sell them in the near term is still appropriate. When the Group is unable to trade these financial assets due to inactive markets and management's intention to do so significantly changes in foreseeable future, the Group may elect to reclassify these financial assets in rare circumstances.

Reclassification to loans and receivables is permitted when the financial assets meet the definition of loans and receivables and the Group has the intent and ability to hold these assets for the foreseeable future or until maturity. Reclassification to the held-to-maturity category is permitted only when the entity has the intention and ability to hold the financial asset accordingly.

For a financial asset reclassified out of the available-for-sale category, any previous gain or loss on that asset that has been recognized in equity is amortized to profit or loss over the remaining life of the investment using the EIR. Any difference between the new amortized cost and the expected cash flows is also amortized over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired, then the amount recorded in equity is reclassified to the income statement.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- The rights to receive cash flows from the asset have expired
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass through' arrangement, and either (a) the Group/Company has transferred substantially all the risks and rewards of the asset, or (b) the Group/Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.



When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of it, the asset is recognized to the extent of the Group's continuing involvement in it.

In such case, the Group also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

b. Impairment of financial assets

The Group assesses at each reporting date whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated. Evidence of impairment may include indications that the debtors or a group of debtors is experiencing significant financial difficulty, default or delinquency in interest or principal payments, the probability that they will enter bankruptcy or other financial reorganization and where observable data indicate that there is a measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults.

Financial assets carried at amortized cost

For financial assets carried at amortized cost, the Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, or collectively for financial assets that are not individually significant. If the Group determines that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognized are not included in a collective assessment of impairment.

If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The present value of the estimated future cash flows is discounted at the financial asset's original effective interest rate. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate.

The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognized in the income statement. Interest income continues to be accrued on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of finance income in the income statement. Loans together with the associated allowance are written off when there is no realistic prospect of future recovery and all collateral has been realized or has been transferred to the Group. If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognized, the previously recognized impairment loss is increased or reduced by adjusting the allowance account. If a write-off is later recovered, the recovery is credited to finance costs in the income statement.



c. Financial liabilities**Initial recognition and measurement**

Financial liabilities within the scope of LKAS 39 are classified as financial liabilities at fair value through profit or loss, loans and borrowings, or as derivatives designated as hedging instruments in an effective hedge, as appropriate. The Group determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings, carried at amortized cost. This includes directly attributable transaction costs.

The Group's financial liabilities include trade and other payables, bank overdrafts, loans and borrowings, financial guarantees contracts, and derivative financial instruments.

Subsequent measurement

The measurement of financial liabilities depends on their classification as follows:

Loans and borrowings

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortized cost using the effective interest rate method. Gains and losses are recognized in the income statement when the liabilities are derecognized as well as through the effective interest rate method (EIR) amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included in finance costs in the income statement.

Financial guarantee contracts

Financial guarantee contracts issued by the Group/Company are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment in accordance with the terms of a debt instrument. Financial guarantee contracts are recognized initially as a liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee.

Subsequently, the liability is measured at the higher of the best estimate of the expenditure required to settle the present obligation at the reporting date and the amount recognized less cumulative amortization.

Derecognition

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires.

When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the income statement.

d. Offsetting of financial instruments

Financial assets and financial liabilities are offset with the net amount reported in the consolidated statement of financial position only if there is a current enforceable legal right to offset the recognized amounts and an intent to settle on a net basis, or to realize the assets and settle the liabilities simultaneously.

e. Fair value of financial instruments

The fair value of financial instruments that are traded in active markets at each reporting date is determined by reference to quoted market prices or dealer price quotations (bid price for long positions and ask price for short positions), without any deduction for transaction costs.



For financial instruments not traded in an active market, the fair value is determined using appropriate valuation techniques. Such techniques may include:

- Using recent arm's length market transactions;
- Reference to the current fair value of another instrument that is substantially the same;
- A discounted cash flow analysis or other valuation models.

An analysis of fair values of financial instruments and further details as to how they are measured are provided in Note 28.

2.11.19 Cash and short-term deposits

Cash and short-term deposits in the statement of financial position comprise cash at banks and on hand and short-term deposits with a maturity of three months or less.

For the purpose of the consolidated statement cash flows, cash and cash equivalents consist of cash and short-term deposits as defined above, net of outstanding bank overdrafts.

2.11.20 Employee benefits liabilities

Defined Benefit Plan - Gratuity:

Gratuity is a defined benefit plan. The Group is liable to pay gratuity in terms of the relevant statute.

The Group measures the present value of the promised retirement benefits for gratuity, which is a defined benefit plan with the advice of an independent professional actuary using the Projected Unit Credit Method (PUC) as required by LKAS 19, Employee Benefits.

The item is stated under Defined Benefit Liability in the Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Any actuarial gains and losses arising are recognized immediately in Other Comprehensive Income.

Defined Contribution Plans:

The group also operates a defined contribution plan. The contribution payable to a defined contribution plan is in proportion to the services rendered to group by the employees and is recorded as an expense. Unpaid contributions are recorded as a liability.

Employees' Provident Fund and Employee' Trust Fund Employees are eligible for Employees' Provident Fund and Employee' Trust Fund contributions, in line with respective statute and regulations. The Group and employee contribute 12% and 8% respectively of the employee's month gross salary (excluding overtime) to the provident fund.

The group contributes 3% of the employee's monthly salary excluding overtime to the Employees' Trust Fund maintained by Employees Trust Fund Board.

The used assumptions and the sensitivity analysis will be state in the Note No. 23.6

2.11.21 Provisions, contingent assets and contingent liabilities

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the Group expects some or all of a provision to be reimbursed, for example under an insurance contract, the reimbursement is recognized as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the income statement net of any reimbursement.



If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

All contingent liabilities are disclosed as a note to the Financial Statements unless the outflow of resources is remote. A contingent liability recognized in a business combination is initially measured at its fair value.

Subsequently, it is measured at the higher of:

- The amount that would be recognized in accordance with the general guidance for provisions above (LKAS 37)
Or
- The amount initially recognized less, when appropriate, cumulative amortization. Contingent assets are disclosed, where inflow of economic benefit is probable.

Contract liabilities

Contract liabilities are the Group's obligation to transfer goods or services to a customer for which the Group has received consideration (or the amount is due) from the customer. Contract liabilities include long-term advances received to deliver goods and services, short-term advances received to render certain services as well as transaction price allocated to unexpired service warranties, and loyalty points not yet redeemed.

Contract liabilities of the Group have been disclosed in current liabilities in note 24.

2.11.22 Segmental Information

The Group's internal organization and management is structured based on individual products and services which are similar in nature and process and where the risk and return are similar. The primary segments represent this business structure.

In addition, segments are determined based on the Group's geographical spread of operations as well. The geographical analysis of turnover and profits are based on location of customers and assets respectively.

As such for management purposes, the Group is organized into business units based on their products and services and has six reportable operating segments as follows:

Manufacturing Footwear	Ceylon Leather Products Limited and Palla & Company (Pvt) Ltd (Discontinued in 2016)
Manufacturing Textile	South Asia Textiles Ltd
Manufacturing Porcelain	Dankotuwa Porcelain PLC and Royal Fernwood Porcelain Ltd and its Subsidiaries
Property	Colombo City Holdings PLC, Lexinton Holdings (Pvt) Ltd, Lexinton Resorts (Pvt) Ltd, Heron Agro Products (Pvt) Ltd.
IT and related Services	Millennium I.T.E.S.P (Pvt) Limited, Eon Tech (Pvt) Ltd
Investments	Ambeon Holdings PLC and Olancom (Pvt) Ltd, Ambeon Capital PLC
Financial Services	Taprobane Securities (Private) Limited, Taprobane Investments (Private) Limited and Taprobane Wealth Plus (Private) limited, Taprobane Capital Plus (Pvt) Ltd, Lexinton Financial Services (Pvt) Ltd.



The principal activities of the cash generating units (Companies) related to each segment have been discussed under "Principal activities and nature of operations" section to the Financial Statements.

The accounting policies adopted for segment reporting are the same accounting policies adopted for preparing and presenting consolidated Financial Statements of the Group.

The segment wise performance is state in the Note No. 5

2.11.23 Share-based payments

Estimating fair value for share-based payment transactions requires determination of the most appropriate valuation model, which depends on the terms and conditions of the grant. This estimate also requires determination of the most appropriate inputs to the valuation model including the expected life of the share option or appreciation right, volatility and dividend yield and making assumptions about them. The Group initially measures the cost of cash-settled transactions with employees using a binomial model to determine the fair value of the liability incurred. For cash-settled share-based payment transactions, the liability needs to be remeasured at the end of each reporting period up to the date of settlement, with any changes in fair value recognised in profit or loss. This requires a reassessment of the estimates used at the end of each reporting period. For the measurement of the fair value of equity-settled transactions with employees at the grant date, the Group uses a binomial model. The assumptions and models used for estimating fair value for share-based payment transactions are disclosed in Note 27.2.

3. STANDARDS ISSUED BUT NOT YET EFFECTIVE

The following SLFRS has been issued by the Institute of Chartered Accountants of Sri Lanka, effective in the future and therefore has not been applied in preparing these financial statements. This SLFRS will have an effect on the accounting policies currently adopted by the Group and may have an impact on the future financial statements.

The Group intends to adopt this standard, if applicable, when it becomes effective.

SLFRS 16-LEASES [Effective on or after 1 January 2019 (early adoption permitted)]

SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for all leases under a single on-balance sheet model similar to the accounting for finance leases under LKAS 17. It will result in almost all leases being recognized on the statement of financial position by lessees, as the distinction between operating and finance leases is removed. Under the new standard, an asset (the right to use the leased item) and a financial liability to pay rentals are recognized. The only exceptions are short-term and low value leases.

The objective is to ensure that lessees and lessors provide relevant information in a manner that faithfully represents those transactions. This information gives a basis for the users of financial statements to assess the effect that leases have on the financial position.

The impact on the adoption of the above standard has not been quantified yet.



4. DISCONTINUED OPERATIONS AND ASSETS CLASSIFIED AS HELD FOR SALE

Footwear segment includes the clearing activities of Palla and Company (Private) Limited a subsidiary of Ambeon Holdings PLC and a major line of business under the "footwear manufacturing" segment. The Company suspended its operation with effect from 31 August 2015.

4.1 The results of the subsidiaries in the "manufacturing footwear" after intercompany eliminations is presented below:

	Footwear 2019 LKR	Total 2019 LKR	Footwear 2018 LKR	Total 2018 LKR
Revenue	-	-	-	-
Cost of Sales	-	-	-	-
Other Income	-	-	20,914,720	20,914,720
Administrative Expenses	(659,193)	(659,193)	(9,958,203)	(9,958,203)
Finance Cost	-	-	-	-
Finance Income	-	-	2,188,119	2,188,119
Gain on realization of liabilities upon liquidation	-	-	-	-
Profit/(loss) before tax from discontinued operations	(659,193)	(659,193)	13,144,636	13,144,636
Income tax Expenses	-	-	(3,274,547)	(3,274,547)
Profit/(Loss) for the year from discontinued operations	(659,193)	(659,193)	9,870,089	9,870,089
Profit / (Loss) Attributable to:				
Equity Holders of the Company	(659,193)	(659,193)	11,982,400	11,982,400
Non - Controlling Interests	-	-	(2,112,311)	(2,112,311)
	(659,193)	(659,193)	9,870,089	9,870,089
Basic Earnings/ (Loss) per share from Discontinued Operations		(0.00)		0.01
Diluted Earnings/ (Loss) per share from Discontinued Operations		(0.00)		0.01
Cash flows				
Net Cash Flows from Operating Activities	436,195	436,195	(41,587,538)	(41,587,538)
Net Cash Flows used in Investing Activities	-	-	128,546,845	128,546,845
Net Cash Flows from Financing Activities	-	-	(23,266,660)	(23,266,660)
	436,195	436,195	63,692,647	63,692,647

GROUP

4.2 ASSETS CLASSIFIED AS HELD FOR SALE

The Board of Directors on the meeting held on 14 October 2015 decided in principle to dispose the land and buildings owned by the Colombo City Holdings at Union Place, Colombo 02 subject to obtaining offers from prospective buyers and approval from shareholders. On 1st March 2017, a registered license surveyor segregated the investment property to 3 lots. The Board considered one of the lots to meet the criteria to be classified as held for sale. The Assets and associate liabilities are as follows:

	2019 LKR	2018 LKR		2019 LKR	2018 LKR
Assets			Liabilities		
Investment Property (Note 15)	-	945,070,313	Refundable deposits	-	3,732,224
Additions	-	7,706,197	Payment made during the year	-	(3,732,224)
Disposal	-	(952,776,510)		-	-
	-	-		-	-

In 2017/18, the Colombo City Holdings PLC disposed the above land and building and received proceeds amounting to LKR 1,000,000,000/-.



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

SEGMENTAL INFORMATION

Group	Manufacturing Footwear		Manufacturing Pouches		Manufacturing Textile		Investment		Property		IT and related services		Financial services		Total
	2019 LKR	2018 LKR	2019 LKR	2018 LKR	2019 LKR	2018 LKR	2019 LKR	2018 LKR	2019 LKR	2018 LKR	2019 LKR	2018 LKR	2019 LKR	2018 LKR	
Total Revenue	602,444,243	636,698,901	2,178,449,472	2,082,525,523	8,296,178,011	7,744,924,982	7,119,780	120,668,238	11,581,515	120,914,228	6,533,340,789	1,562,444,695	101,293,171	11,159,599	12,888,871,155
Segment Results (Gross Profit) (loss)	(13,889,286)	(15,886,814)	653,168,108	485,780,476	1,243,832,794	1,063,302,700	3,536,004	120,668,238	9,295,632	44,716,849	1,945,452,015	517,297,739	10,605,058	10,605,984	2,503,965,061
Finance Cost	(88,383,564)	(13,641,682)	(89,494,267)	(48,493,995)	(89,430,987)	(68,588,193)	(568,429,662)	(651,027,827)	(21,155,314)	(9,402,234)	(186,669,173)	(37,371,125)	(2,418,986)	(1,055,832)	(829,589,157)
Change in (i) for value of Investment Property	434,969,475	-	293,029,150	-	-	-	1,500,000	(4,000,000)	1,000,000	232,834,192	-	-	1,000,000	3,000,000	237,834,192
Profit (loss) before Income Tax	47,192,702	(110,273,786)	158,059,806	(51,407,424)	518,921,519	387,812,863	(756,777,591)	(377,216,914)	127,893,377	315,122,962	531,492,889	283,258,824	(11,059,555)	(2,013,479)	286,339,112
Profit (loss) after tax for the year from continuing operations	33,333,125	(15,811,817)	114,423,496	(36,811,294)	331,120,734	261,111,716	(1,168,888,710)	(28,341,521)	81,111,478	198,833,311	1,108,122,971	61,171,346	(11,139,861)	(19,693,425)	332,426,710
Profit (loss) after tax for the year from discontinued operations	(659,193)	9,870,189	-	-	-	-	-	-	-	-	-	-	-	-	-
Profit (loss) for the year	(29,152,040)	(264,361,441)	396,614,448	26,433,870	484,680,511	324,271,148	(887,631,312)	(351,685,593)	149,122,851	279,366,662	1,116,290,800	62,209,516	22,130,954	513,809,145	332,426,710
Assets and Liabilities															
Non-current Assets	2,122,286,872	1,565,735,992	2,192,513,078	1,795,728,583	2,364,577,585	2,088,841,885	994,824,704	1,223,669,999	1,710,048,111	1,634,127,911	377,866,214	2,049,282,406	22,561,080	6,712,731,750	8,712,731,750
Current Assets	601,654,435	888,697,455	1,989,443,757	1,532,172,784	3,031,096,765	3,241,177,927	1,761,110,317	2,327,821,980	4,549,925,616	558,769,595	4,878,792,321	1,123,830,322	120,560,804	12,842,587,254	32,192,126,971
Total assets	2,723,941,307	2,454,433,447	4,181,956,835	3,326,901,367	5,395,674,350	5,330,019,811	2,755,934,711	3,551,491,979	6,260,973,727	2,192,897,506	8,655,058,531	3,173,112,728	316,121,884	20,555,318,904	32,004,858,721
Non-current Liabilities	429,863,299	327,983,013	487,147,170	680,449,047	645,666,988	617,085,112	2,277,739,105	841,286,589	28,055,990	59,324,243	1,109,916,131	10,989,019	6,632,301	3,989,918,795	2,625,185,822
Current Liabilities	648,123,477	776,563,991	1,219,845,218	914,575,580	3,082,865,029	2,844,753,969	2,195,569,191	3,885,138,511	2,094,049,417	87,382,917	4,957,911,422	40,679,161	21,118,314	12,119,599,185	11,836,075,476
Total liabilities	1,077,986,776	1,104,547,005	1,706,992,388	1,595,024,627	3,728,531,917	3,461,839,081	4,473,308,296	4,726,425,100	2,076,604,437	146,707,160	6,067,827,553	51,668,180	27,750,615	16,109,517,980	14,461,261,298

*Segment Non-current Assets do not include investment in subsidiaries and intercompany receivables

**Segment Liabilities do not include intercompany payables including loans



5. SEGMENTAL INFORMATION (Contd...)

5.1 Revenue	GROUP		COMPANY	
	2019 LKR	2018 LKR	2019 LKR	2018 LKR
Sale of Goods				
Footwear	602,444,243	636,698,891	-	-
Porcelain	2,178,649,472	2,082,525,521	-	-
Textile	8,296,138,014	7,744,924,982	-	-
Stock Broking / Money Broking				
Brokerage Income	103,293,371	114,539,601	-	-
Finance & Investment				
Interest Income	34,760,933	186,678,658	40,547,411	141,541,739
Investment Trading	(51,998,545)	157,353,800	(51,998,545)	157,353,800
Change in Fair Value of Financial Assets Held for Trading	18,487,596	(18,025,885)	18,487,596	(18,025,885)
Services				
IT Services	6,533,340,789	1,562,444,695	-	-
Other				
Rent Income	15,177,511	13,959,133	-	-
Sale of Real State	-	105,000,000	-	-
Gain/ (Loss) on Fair Value of Biological Assets	2,100,000	2,400,000	-	-
Sale of Agriculture Produce	193,800	156,760	-	-
	<u>17,732,587,184</u>	<u>12,588,656,155</u>	<u>7,036,462</u>	<u>280,869,653</u>

6. DIRECT COST	GROUP		COMPANY	
	2019 LKR	2018 LKR	2019 LKR	2018 LKR
Cost of Goods Sold	13,806,376,036	10,075,334,766	-	-
Discount on Brokerage	3,603,776	11,578,700	-	-
Others	-	837,604	-	-
	<u>13,809,979,812</u>	<u>10,087,751,071</u>	<u>-</u>	<u>-</u>

7. INVESTMENT AND OTHER INCOME	GROUP		COMPANY	
	2019 LKR	2018 LKR	2019 LKR	2018 LKR
Interest Income on Over Due Balances and Deposits	142,880,191	109,166,263	1,502,605	178,383
Dividend Income	814	698	363,246,721	3,422,089
Gain on Sale of Financial Assets held for Trading	-	1,305,468	-	116,627
Gain / (Loss) on Disposal of Property, Plant & Equipment	7,155,621	1,277,631	(3,144)	-
Scrap Sales	25,824,315	-	-	-
Other Income	11,070,666	71,529,687	300,000	11,221,873
Gain on disposal of Assets Held for Sale	-	47,223,506	-	-
Reversal of Provisions and Write back of Interest Bearing Borrowings	153,859,921	166,505,185	-	-
	<u>340,791,529</u>	<u>397,008,438</u>	<u>365,046,183</u>	<u>14,938,972</u>

7.1 Write back of Interest Bearing Borrowings includes Loan write back resulting from execution of Novation agreement with Brown and Company PLC and Ambeon Holdings PLC.

8. FINANCE COST	GROUP		COMPANY	
	2019 LKR	2018 LKR	2019 LKR	2018 LKR
Loan Interest	816,555,789	449,544,819	381,707,097	274,473,852
Exchange Loss	5,398,913	853,291	-	-
Bank Overdraft Interest	195,967,438	379,182,077	95,019,437	298,254,353
	<u>1,017,922,140</u>	<u>829,580,187</u>	<u>476,726,534</u>	<u>572,728,205</u>

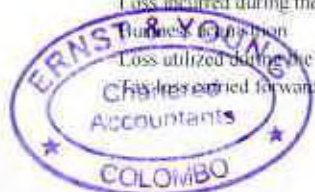


	GROUP		COMPANY	
	2019 LKR	2018 LKR	2019 LKR	2018 LKR
9. PROFIT/(LOSS) BEFORE TAXATION				
Profit before taxation is stated after charging all expenses including the following				
Auditors' Remuneration - Statutory Audit	8,675,352	8,080,194	365,000	330,000
Directors' Fee	45,102,793	80,304,179	9,475,778	38,371,800
Professional Fees	6,476,340	3,811,041	3,799,913	1,883,009
Depreciation on Property, Plant and Equipment	390,965,850	340,343,584	4,015,329	289,906
Amortization of Intangible Assets	8,304,754	12,314,099	-	-
Staff Cost (Note 9.1)	2,742,949,300	2,625,734,774	-	19,472,004
Allowance for Obsolete & Slow Moving Inventories	(123,686,758)	81,134,091	-	-
9.1 Staff Cost				
Salaries & Other Related Costs	2,412,733,092	2,319,624,992	-	16,333,098
Defined Benefit Plan Cost - Retiring Gratuity	81,259,311	62,963,136	-	727,004
Defined Contribution Plan Cost - EPF & LTF	248,956,897	243,146,646	-	2,411,902
	2,742,949,300	2,625,734,774	-	19,472,004
10. INCOME TAX				
Current Tax Expense	182,397,787	141,270,539	-	-
Under/ (Over) Provision in Respect of Previous Year	(22,481,462)	14,927,725	-	-
	159,916,325	156,198,265	-	-
Deferred Tax Expenses - Origination / (Reversals) of Temporary Differences (Note 25)	241,613,716	(242,294,863)	1,068,362	(17,324,614)
	401,530,041	(86,096,598)	1,068,362	(17,324,614)
Reconciliation of Accounting Profit to Income Tax Expense				
Profit/(Loss) Before Tax*	914,765,982	299,474,748	(153,684,821)	413,268,169
Income Not Liable for Income Tax	914,765,982	299,474,748	(153,684,821)	413,268,169
Disallowable Expenses	(417,476,656)	(698,770,882)	(387,172,128)	(1,021,070,871)
Capital Allowances Claimed & Allowable Expenses	1,659,226,768	505,473,517	510,051,743	80,682,280
Business Profit/(Loss)	(925,346,095)	(618,937,397)	(107,896)	(285,071)
Operating losses incurred during the year	1,231,169,999	(512,760,014)	(30,913,102)	(527,405,493)
Tax Loss from Business	(329,681,978)	1,304,144,619	-	-
Tax Exempt (Income) / Expenses	-	-	-	-
Total Statutory Income	901,488,022	791,384,604	-	-
Interest Income	210,949,724	150,846,419	1,502,606	-
Tax loss utilized during the year	(579,409,043)	(122,126,961)	(1,502,606)	-
Qualifying Payments	-	(14,631,555)	-	-
Assessable / Taxable Income	533,028,703	805,472,506	-	-
Income Tax @ 14% / 12%	46,738,433	67,351,378	-	-
Income Tax @ 28%	84,174,812	48,219,428	-	-
Income tax on dividend Income	51,484,542	25,699,734	-	-
Taxation on Profit for the Year	182,397,787	141,270,539	-	-
Income Tax Attributable to Discontinued Operations	-	3,274,547	-	-
Income Tax Attributable to Continuing Operations	182,397,787	141,270,539	-	-

* Includes Profit / (Loss) before tax from discontinued operations as disclosed in note 4

* All Subsidiaries are taxed at 28% except for South Asia Textiles Limited, which is taxed at 14%

10.1 Tax Losses				
Tax loss brought forward	3,407,635,611	2,429,022,579	1,321,922,049	794,562,466
Income tax intimation direction / Tax Filing Differences	5,618,426	(23,011,199)	-	-
Loss incurred during the year	635,678,160	1,123,751,191	30,913,102	527,359,583
Business intimation	1,646,842	-	-	-
Loss utilized during the year	(579,409,043)	(122,126,961)	(1,502,606)	-
Losses carried forward	3,471,169,996	3,407,635,611	1,351,332,545	1,321,922,049



10. INCOME TAX (Contd..)**10.2 Pending Tax matters****10.2.1 Lexinton Holdings (Pvt) Ltd**

Lexinton Holdings (Pvt) Ltd appealed against the assessment No. ITA14281100120 VI issued by the Department of Inland Revenue relating to the year of assessment 2011/12. The appeal was determined favoring Commissioner General of Inland Revenue by the Commissioner of Large Corporate entities, Audit Unit - I and a petition of appeal has been filed with Tax Appeals Commission on 06th April 2017. Having sought professional advice, Management is confident that the grounds for the appeal are strong and as such no liability would arise. Total Tax assessed was Rs 50,787,184/- Tax appeal commission hearing is still pending.

11. EARNINGS / (DEFICIT) PER SHARE**11.1 Basic Earnings / (Deficit) per Share**

The calculation of basic earnings / (deficit) per share is based on the profit / (loss) attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding during the year.

	GROUP		COMPANY	
	2019	2018	2019	2018
For the Year Ended 31st March				
Profit / (Loss) attributable to Ordinary Shareholders (Rs)	47,147,271	151,541,224	(154,753,183)	430,592,783
Weighted Average Number of Ordinary Shares (I I I I)	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Basic Earnings Per Share (Rs)	0.05	0.15	(0.15)	0.43
11.1.1 Weighted Average Number of Ordinary Shares				
Issued Ordinary shares at the beginning of the year	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Weighted average number of ordinary shares at the end of the year	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
11.2 Basic Earnings / (Deficit) per Share for Continuing Operations				
Profit / (Loss) attributable to Ordinary Shareholders from Continuing Operating(Rs)	47,806,464	139,558,824	(154,753,183)	430,592,783
Weighted Average Number of Ordinary Shares (I I I I)	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Basic Earnings Per Share for Continuing Operations (Rs)	0.05	0.14	(0.15)	0.43

Basic earnings / (deficit) per share is calculated for continuing operations by dividing the net profit / (loss) from continuing operations for the year attributable to the ordinary shareholders by the weighted average number of shares outstanding during the year.

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence diluted earnings per share is equal to basic earnings per share.

11.3 Net Assets Per Share

	GROUP		COMPANY	
	2019	2018	2019	2018
Equity Attributable to Equity Holders of the Company	3,502,646,922	4,050,438,918	1,830,238,840	2,345,972,955
Weighted Average Number of Ordinary Shares (I I I I)	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Net Assets Per Share *	3.49	4.04	1.83	2.34

* Net assets per share has been calculated, for all periods, based on the net assets of the Group and number of shares in issue as at 31 March 2019.



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

12. PROPERTY, PLANT AND EQUIPMENT

Group	Balance as at 01.04.2018 LKR	Business Acquisition LKR	Balance as at 01.04.2018 Revised LKR	Additions LKR	Revaluation LKR	Acquisition of Subsidiaries LKR	Transfers LKR	Disposals LKR	Exchange Difference LKR	Balance as at 31.03.2019 LKR
Freehold										
Land	1,808,591,585	-	1,808,591,585	-	425,182,951	143,575,000 00	(1,048,723,985)	(154,075,000)	-	1,174,550,551
Buildings	1,024,142,602	-	1,024,142,602	2,138,570	56,323,707	128,625,000 00	(56,478,360)	(134,625,000)	-	1,020,126,518
Land Development Cost	67,887,287	-	67,887,287	180,050	-	-	-	-	(2,354,545)	65,712,792
Computer Equipment	438,528,160	(177,187,506)	261,340,654	61,732,019	-	644,970	(1,564,594)	(2,843,118)	(1,666,304)	317,643,627
Furniture & Office Equipment	404,051,685	(2,852,010)	401,199,675	41,160,506	-	9,991,311	30,006,905	(13,949,748)	(5,542,745)	462,865,904
Kiln and Kiln Furniture	285,439,710	-	285,439,710	8,912,364	-	-	(125,264,278)	-	(2,441,877)	166,645,919
Motor Vehicles	91,492,298	-	91,492,298	20,000,000	-	-	(1)	(2,350,833)	(1,828,319)	107,313,144
Tools & Equipment	2,213,011	-	2,213,011	-	-	-	(2,000,114)	(70,860)	-	142,037
Plant and Machinery	3,799,745,684	-	3,799,745,684	64,609,431	-	-	78,755,132	(190,310,522)	(73,665,577)	3,679,134,148
Waste Water Purification Project	77,627,323	-	77,627,323	51,541,849	-	-	-	-	(2,811,830)	126,357,342
	7,999,719,343	(180,039,517)	7,819,679,827	250,274,789	481,506,658	282,836,281	(1,125,269,296)	(498,225,081)	(90,311,198)	7,120,491,980
Leasehold										
Building	730,700,000	-	730,700,000	8,314,495	94,199,947	-	47,000,788	-	(22,308,208)	857,907,022
Motor Vehicle	730,700,000	-	730,700,000	8,314,495	94,199,947	-	47,000,788	-	(22,308,208)	857,907,022
Capital Work in Progress	125,666,800	-	125,666,800	417,753,973	-	-	(91,376,551)	-	(17,505,210)	434,539,011
	8,856,086,143	(180,039,517)	8,676,046,628	676,343,256	575,706,605	282,836,281	(1,169,645,060)	(498,225,081)	(130,124,616)	8,412,938,012
Total										



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Year ended 31 March 2019

12. PROPERTY, PLANT AND EQUIPMENT (Contd...)

Group	Balance as at 01.04.2018 LKR	Business Acquisition LKR	Balance as at 01.04.2018 Revised LKR	Charge for the Year LKR	Revaluation LKR	Acquisition of Subsidiaries LKR	Transfers LKR	Disposals LKR	Exchange Difference LKR	Balance as at 31.03.2019 LKR
Freehold										
Buildings	5,789,243	-	5,789,243	43,725,089	(37,845,713)	-	(8,964,535)	(125,749)	-	2,578,336
Land Development Cost	52,067,882	-	52,067,882	3,055,325	-	-	72,134	-	(1,915,892)	53,279,449
Computer Equipment	389,991,582	(168,287,723)	221,703,859	25,206,539	-	-	(848,062)	(2,843,118)	(1,867,710)	241,351,508
Furniture & Office equipment	296,328,425	(1,974,943)	294,353,481	44,535,149	-	7,621,286	12,445,871	(10,549,766)	(5,214,223)	343,191,799
Kiln and Kiln Furniture	198,094,710	-	198,094,710	8,282,944	-	-	(109,910,508)	-	(1,597,636)	94,869,510
Motor Vehicles	67,437,232	-	67,437,232	13,345,673	-	-	-	(2,087,333)	(1,746,825)	76,948,747
Tools & Equipment	1,455,684	-	1,455,684	15,042	-	-	(1,325,796)	(14,671)	-	130,259
Plant and Machinery	2,320,169,149	-	2,320,169,149	209,815,252	-	-	102,266,714	(177,086,247)	(33,685,836)	2,421,479,032
Waste Water Purification Project	45,254,772	-	45,254,772	9,859,142	-	-	-	-	(14,802,739)	53,311,175
	3,376,588,679	(170,262,666)	3,206,326,013	357,840,156	(37,845,713)	7,621,286	(6,264,182)	(192,706,884)	(47,830,861)	3,287,139,814
Leasehold										
Building	4,559,303	-	4,559,303	24,834,025	(18,746,750)	-	(268,914)	-	-	10,377,665
	4,559,303	-	4,559,303	24,834,025	(18,746,750)	-	(268,914)	-	-	10,377,665
Total	3,381,147,982	(170,262,666)	3,210,885,316	382,674,181	(56,592,463)	7,621,286	(6,533,095)	(192,706,884)	(47,830,861)	3,297,517,479

Net Book Value

	2019 LKR	2018 LKR
Freehold		
Land	1,174,550,551	1,808,591,585
Buildings	1,017,548,182	1,018,353,359
Land Development Cost	12,433,342	15,819,405
Computer Equipment	76,292,118	39,636,794
Furniture & Office equipment	119,674,105	106,846,193
Kiln and Kiln Furniture	71,776,408	87,345,000
Motor Vehicles	30,364,398	24,055,066
Tools & Equipment	11,778	757,327
Plant and Machinery	1,257,655,116	1,479,576,535
	73,046,167	32,372,551
	847,529,357	726,140,697
Leasehold		
Building	434,539,011	125,666,800
Carrying Amount	5,115,420,533	5,465,161,313



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

12. PROPERTY, PLANT AND EQUIPMENT (Contd...)

12.1.1 During the financial year the Group acquired Property, Plant & Equipment to the aggregate value of LKR 676,343,256 - (2018- LKR 196,550,798 -)

12.1.2 Details of Property, plant and equipment pledged for borrowings are disclosed in Note 32

12.1.3 Revaluation of Land and Building

The Group uses the revaluation model of measurement of land and buildings. The Group engaged independent expert valuer to determine the fair value of its land and buildings.

Details of Group's land, building and other properties stated at valuation are indicated below.

Company	Property	Method of Valuation	Value		Valuers Details	Effective Date of Valuation
			2019 LKR	2018 LKR		
Ceylon Leather Products Limited.	Land at Mattakkuliya	Market Approach	-	934,875,000	Mr Chulananda Wellappiti, Independent Incorporated Valuer	31 March 2018
	Buildings at Mattakkuliya	Cost Approach	-	38,706,025		
	Land at Mattakkuliya	Market Approach	-	10,500,000	Mr Chulananda Wellappiti, Independent Incorporated Valuer	31 March 2018
	Buildings at Mattakkuliya	Cost Approach	-	6,030,000		
	Land at Balummahara	Market Approach	170,799,250	144,256,500	Mr Chulananda Wellappiti, Independent Incorporated Valuer	31 March 2019
	Building at Balummahara	Cost Approach	221,862,450	213,868,894		
Dankotuwa Porcelain PLC	Land at Dankotuwa	Market Approach	655,552,000	409,720,000	Mr S Sivaskantha an independent incorporated valuer	31 March 2019
	Buildings at Dankotuwa	Cost Approach	381,985,250	324,461,825		
South Asia Textile Ltd	Buildings at Pugoda	Income Approach	805,500,000	730,700,000	Mr Chulananda Wellappiti, Independent	31 March 2019
Royal Fernwood Porcelain Limited	Land at Kosgama	Market Approach	204,624,300	184,296,100	Mr S Sivaskantha an independent incorporated valuer	31 March 2019
	Buildings at Kosgama	Cost Approach	283,362,790	290,929,395		
Lexinton Holdings (Pvt) Limited	Land at Rajagiriya	Market Approach	143,575,000	123,280,000	Sunil Fernando and Associate (Pvt) Limited incorporated valuer	31 March 2019
	Buildings at Rajagiriya	Cost Approach	128,625,000	137,720,000		

12.1.4 Description of Significant Unobservable Inputs to Valuation

The significant assumptions used by the valuer for valuations are follows;

Property		Method of Valuation	Inputs used for measurement	Area	Range	Sensitivity of Fair value to unobservable inputs
South Asia Textile Ltd						
2019						
Building on Leasehold Land (Remaining leasehold period - 35 years)	Pugoda	Income Approach	Per sq ft rate	405,430 sq feet	LKR 12 - 50	Positively correlated
2018						
Building on Leasehold Land (Remaining leasehold period - 36 years)	Pugoda	Income Approach	Per sq ft rate	405,430 sq feet	LKR 12 - 25	Positively correlated
Royal Fernwood Porcelain Ltd						
2019						
Freehold Land	Kosgama	Market Approach	Per perch rate	2,178 Perches	LKR 60,000 - 150,000	Positively correlated
Freehold Buildings	Kosgama	Cost Approach	Per sq ft rate	177,630 sq feet	LKR 1,250 - 4,000	Positively correlated
2018						
Freehold Land	Kosgama	Market Approach	Per perch rate	2,178 Perches	LKR 40,000 - 150,000	Positively correlated
Freehold Buildings	Kosgama	Cost Approach	Per sq ft rate	177,630 sq feet	LKR 300 - 2,800	Positively correlated



12. PROPERTY, PLANT AND EQUIPMENT (Contd...)
Description of Significant Unobservable Inputs to Valuation (Contd...)

Dankotuwa Porcelain PLC

2019

Freehold Land	Dankotuwa	Market Approach	Per perch rate	3,277.76 Perches	LKR 200,000	Positively correlated
Freehold Buildings	Dankotuwa	Cost Approach	Per sq ft rate	260,015 sq feet	LKR 2,000 - 4,000	Positively correlated

2018

Freehold Land	Dankotuwa	Market Approach	Per perch rate	3,277.76 Perches	LKR 125,000	Positively correlated
Freehold Buildings	Dankotuwa	Cost Approach	Per sq ft rate	260,015 sq feet	LKR 500 - 4,000	Positively correlated

Ceylon Leather Products Limited

2019

Freehold Land	Balummahara	Market Approach	Per perch rate	474 Perches	LKR 175,000 - 475,000	Positively correlated
Freehold Buildings	Balummahara	Cost Approach	Per sq ft rate	76,720 sq feet	LKR 1,400 - 5,000	Positively correlated

2018

Freehold Land	Balummahara	Market Approach	Per perch rate	474 Perches	LKR 150,000 - 400,000	Positively correlated
	Mattakkuliya - Factory	Market Approach	Per perch rate	748 Perches	LKR 1,250,000	Positively correlated
	Mattakkuliya Tannery House	Market Approach	Per perch rate	6 Perches	LKR 1,750,000	Positively correlated
Freehold Buildings	Balummahara	Cost Approach	Per sq ft rate	76,720 sq feet	LKR 1,400 - 4,700	Positively correlated
	Mattakkuliya - Factory	Cost Approach	Per sq ft rate	75,010 sq feet	LKR 650 - 3,250	Positively correlated
	Mattakkuliya - Tannery House	Cost Approach	Per sq ft rate	2,010 sq feet	LKR 3,750	Positively correlated

Lexinton Holdings (Pvt) Limited

2019

Freehold Land	Rajagiriya	Market Approach	Per perch rate	17.15 Perches	LKR 7,250,000	Positively correlated
Freehold Buildings	Rajagiriya	Cost Approach	Per sq ft rate	17,150 sq feet	LKR 7,500	Positively correlated

2018

Freehold Land	Rajagiriya	Market Approach	Per perch rate	17.15 Perches	LKR 7,000,000	Positively correlated
Freehold Buildings	Rajagiriya	Cost Approach	Per sq ft rate	17,150 sq feet	LKR 8000	Positively correlated

12.1.5 The carrying amount of revalued assets of the Group that would have been included in the financial statements had that been carried at cost less depreciation is as follows

Ceylon Leather Products Limited

Class of Asset	Cost LKR	Cumulative Depreciation If assets were carried at cost LKR	Net Carrying Amount 2019 LKR	Net Carrying Amount 2018 LKR
Land-Freehold	32,046,453	-	32,046,453	32,046,453
Buildings on Freehold Land	126,026,497	(3,150,662)	122,875,835	83,389,056
	<u>158,072,950</u>	<u>(3,150,662)</u>	<u>154,922,288</u>	<u>115,435,509</u>

Dankotuwa Porcelain PLC

Class of Asset	Cost LKR	Cumulative Depreciation If assets were carried at cost LKR	Net Carrying Amount 2019 LKR	Net Carrying Amount 2018 LKR
Land-Freehold	250,000	-	250,000	250,000
Building - Freehold	165,081,657	100,984,090	64,097,567	73,258,488
	<u>165,331,657</u>	<u>100,984,090</u>	<u>64,347,567</u>	<u>73,508,488</u>

South Asia Textile Ltd

Class of Asset	Cost LKR	Cumulative Depreciation If assets were carried at cost LKR	Net Carrying Amount 2019 LKR	Net Carrying Amount 2018 LKR
Building on Leasehold Land	306,985,378	73,366,309	233,619,269	236,886,970
	<u>306,985,378</u>	<u>73,366,309</u>	<u>233,619,269</u>	<u>236,886,970</u>



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

12. PROPERTY, PLANT AND EQUIPMENT (Contd...)

Lexington Holdings (Pvt) Limited

Class of Asset

Land-Freehold
Buildings-Freehold

Cost LKR	Cumulative Depreciation If assets were carried at cost LKR	Net Carrying Amount 2019 LKR	Net Carrying Amount 2018 LKR
60,000,000	-	60,000,000	60,000,000
115,000,000	55,200,000	59,800,000	64,800,000
175,000,000	55,200,000	119,800,000	124,800,000

Royal Fernwood Porcelain Ltd

Class of Asset

Land-Freehold
Buildings-Freehold

Cost LKR	Cumulative Depreciation If assets were carried at cost LKR	Net Carrying Amount 2019 LKR	Net Carrying Amount 2018 LKR
18,590,108	-	18,590,108	18,590,108
15,849,645	880,536	14,969,109	15,849,645
34,439,753	880,536	33,559,217	34,439,753
Land-Freehold	143,575,000	143,575,000	-
Buildings-Freehold	128,625,000	128,625,000	-
272,200,000	-	272,200,000	-

12.2 Company

Cost

Freehold

Motor Vehicles
Computer Equipment
Office Equipment
Tools & Equipment
Office Furniture

Total

Balance as at 01.04.2018 LKR	Additions LKR	Disposals LKR	Balance as at 31.03.2019 LKR
-	20,000,000	-	20,000,000
2,425,525	-	(437,630)	1,987,895
252,905	-	-	252,905
20,650	-	(13,150)	7,500
526,198	-	-	526,198
3,225,278	20,000,000	(440,780)	22,784,498

Accumulated Depreciation

Freehold

Motor Vehicles
Computer Equipment
Office Equipment
Tools & Equipment
Office Furniture

Total

Balance as at 01.04.2018 LKR	Charge for the Year LKR	Disposals LKR	Balance as at 31.03.2019 LKR
-	3,750,000	-	3,750,000
2,150,340	224,665	(437,630)	1,937,375
233,180	10,310	-	243,490
13,358	4,375	(3,150)	14,583
382,292	29,129	-	411,421
2,779,170	4,018,479	(440,780)	6,356,869

Net Book Value

Freehold

Motor Vehicles
Computer Equipment
Office Equipment
Tools & Equipment
Office Furniture

Total Carrying Amount of Property, Plant & Equipment

2019 LKR	2018 LKR
16,250,000	-
50,520	275,185
9,415	19,725
2,917	7,292
114,777	143,906
16,427,629	446,108



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

13. INTANGIBLE ASSETS (GROUP)

As at 31st March	Software		License Fees		Brand Name		Goodwill		Total	
	2019	2018	2019	2018	2019	2018	2019	2018	2019	2018
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Cost										
Balance at the beginning of the year	46,303,004	48,645,257	23,516,552	1,082,500	324,644,574	9,723,614	847,041,839	-	1,241,505,969	59,451,371
Business Acquired during the period	-	-	-	22,457,754	-	-	-	847,041,839	-	869,499,594
Additions during the year	7,550,096	9,948,144	11,631,374	-	-	314,920,960	-	-	19,181,470	324,869,104
Amortized during the year	(5,896,696)	(12,290,397)	(2,408,058)	(23,702)	-	-	-	-	(8,304,754)	(12,314,099)
Balance at the end of the year	47,956,404	46,303,004	32,739,868	23,516,552	324,644,574	324,644,574	847,041,839	847,041,839	1,252,382,684	1,241,505,969

13.1 Goodwill represents the excess of an acquisition over the company's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities at the date of acquisition, and is carried at cost less accumulated impairment losses

Goodwill is not amortized, but is reviewed for impairment annually and whether there is an indication that goodwill may be impaired. For the purpose of testing goodwill for impairment, goodwill is allocated to the operating entity level, which is the lowest level at which the goodwill is monitored for internal management purpose.

13.1.1 Impairment Testing of Goodwill and Intangible Assets with Indefinite Lives

The aggregate carrying amount of Goodwill and Brand Name allocated to each entity is as follows:

	Goodwill		Brand Name	
	2019	2018	2019	2018
	LKR	LKR	LKR	LKR
Royal Fernwood Porcelain Limited	-	-	9,723,614	9,723,614
Millennium I T E S P (Pvt) Ltd	847,041,839	847,041,839	314,920,960	314,920,960
	847,041,839	847,041,839	324,644,574	324,644,574

13.1.2 During the year, upon the completion of purchase price allocation in relation to the acquisition of Millennium I T E S P (Pvt) Ltd, the Group identified Brand value of Rs. 315 Mn for the brand name of Millennium I T E S P (Pvt) Ltd and the residual Goodwill as LKR 847 Mn. Management determined that both Brand name and Goodwill to have infinite useful lives.



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

13. INTANGIBLE ASSETS (GROUP) (Contd...)**13.2 Impairment of goodwill**

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its value in use (VIU). The fair value less costs to sell calculation is based on available data from an active market, in an arm's length transaction, of similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash inflows and the growth rate used for extrapolation purposes. The key assumptions used to determine the recoverable amount for the different cash generating units, are as follows:

Gross margins

The basis used to determine the value assigned to the budgeted gross margins/contributions is the gross margins/contributions achieved in the year preceding the budgeted year adjusted for projected market conditions.

Discount rates

The discount rate used is the risk free rate which is the long term bond rate as published by Central Bank of Sri Lanka, adjusted by the addition of an appropriate risk premium.

Inflation

The basis used to determine the value assigned to the budgeted cost inflation, is the inflation rate, based on projected economic conditions as published by Central Bank of Sri Lanka.

Volume growth

Volume growth has been budgeted on a reasonable and realistic basis by taking into account the growth rates of one to four years immediately subsequent to the budgeted year based on Industry growth rates. Cash flows beyond the five year period are extrapolated using 0% growth rate.

Sensitivity to Changes in Assumptions

A 0.5% change in the discount rate does not result in an impairment Loss.

- 13.3** Software of the group represents Microsoft Office and new ERP system.
- 13.4** The management identified the brand names of Royal Fernwood Porcelain Ltd and Millennium I.T.E.S.P (Pvt) Limited as an intangible asset with an indefinite useful life arising from business combination. The management is of the view that the brand name will be a key attraction in the Porcelain Sector and Information Technology Sector. The brand name has been tested for impairment along with other intangible assets of the Royal Fernwood Porcelain Ltd and Millennium I.T.E.S.P (Pvt) Ltd as further explained under note 13.2.
- 13.5** License fees represents license obtained by Taprobane Securities (Pvt) Ltd from the Colombo Stock Exchange and the license obtained for a Solar Power Project from Sustainable Energy Authority by Ambeon Holdings PLC

14. BIOLOGICAL ASSETS (GROUP)

	Balance as at 01.04.2018	Changes in Fair Value Less Cost to Sell	Balance as at 31.03.2019
	LKR	LKR	LKR
Teak	47,410,000	2,060,000	49,470,000
Lunumidella	790,000	40,000	830,000
Coconut	81,950	-	81,950
	<u>48,281,950</u>	<u>2,100,000</u>	<u>50,381,950</u>



Heron Agro Products (Pvt) Ltd, subsidiary of the Ambeon Capital PLC has leased out a land from Sri Lanka Mahaweli Authority under Government Land Ordinance for 30 years commencing from 18th January 1993. The lease period will expire on 17th January 2023. However, the lease period could be extended further period 15 years in accordance with the Memorandum of Understanding (MOU) signed with Mahaweli Authority of Sri Lanka.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

14. BIOLOGICAL ASSETS (Cotd...)**14.2 Determination of Market Value****Teak**

Market price is mainly obtained from International Market price of Teak Timber. State Timber Corporation and the local market prices. Cost of sawing and other outgoings have been deducted to obtain the net value of sawn timber per mature tree. Value of a Sqft of teak is assumed to be LKR 1,900 - LKR 3,800 (discounted) for the purpose of valuation as at 31st March 2019.

Lunumidella

Market Price of a mature tree is determined based on local market and State Timber Corporation price. Cost of sawing and other outgoing have been deducted to obtain the net value of sawn timber per mature tree. Value of a Sqft feet of Lunumidella tree is assumed to be LKR 210 (discounted) for the purpose of valuation as at 31st March 2019.

	2019	2018
Discount Rate	17%	17%

The market related systemic risk factor is taken at 2% - 2.65%, unsystemic risk of 3.5% was subject to the assumed probability. Thus the 3.5% adjustment was assumed with a final adjustment by a premium of 6% to arrive at the discounting rate of 17%.

Methodology

The estimation of value of stumpage in timber stands depends on the age of plantation. These are categorized merchantable and pre merchantable.

The young plantation between age 10-15 are termed pre-merchantable and the other merchantable. Merchantable are valued based on market prices discounted to harvesting DCF Method.

Pre merchantable are valued based on replacement cost basis. The costs are compounded to recognize the return on investment, the compounding rate is the opportunity cost which is taken at Weighted Average Cost of Capital.

Key assumptions

1. The harvesting is approved by the forest Department and other relevant authorities.
2. The prices adopted are net of expenditure.
3. Discount rate is 17%
4. Compounding rate is 15% (assumed WACC)
5. Pre- merchantable are valued on replacement cost basis, compounded at 15%

2017/18 Key assumptions were also same as above.

14.3 Potential Risks Timber Plantations

The Group is exposed to the following risks in relation to timber plantations:

Supply and Demand Risk

The Group is exposed to risks arising from fluctuations in the price and sales volume of time. When possible, the Group manages this risk by aligning its harvest volume to market supply and demand. Management performs regular industry trend analyses to ensure that the Group's pricing structure is in line with the market and to ensure that projected harvest volumes are consistent with the expected demand identified.

Regulatory and Environmental Risks

The Group is subject to laws and regulations in Sri Lanka. The Group has established environmental policies and procedures aimed at compliance with local environmental and other laws. Management performs regular reviews to identify environmental risks and to ensure that the systems in place are adequate to manage those risks.

Climate and Other Risks

The Group's timber plantations are exposed to the risk of damage from climatic changes, diseases, forest fires and other natural forces. The Group has extensive processes in place aimed at monitoring and mitigating those risks, including regular forest health inspections and industry pest and disease surveys.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

15. INVESTMENT PROPERTIES

	GROUP		COMPANY	
	2019 LKR	2018 LKR	2019 LKR	2018 LKR
Balance at the beginning of the year	1,688,188,153	1,164,600,686	29,000,000	25,000,000
Additions	7,542,453	4,835,475	-	-
Transfer from Property plant and equipment	1,085,766,025	280,917,800	-	-
Net gain from fair value adjustments	831,355,019	237,834,192	1,500,000	4,000,000
	<u>3,612,851,650</u>	<u>1,688,188,153</u>	<u>30,500,000</u>	<u>29,000,000</u>
Balance at the end of the year	<u>3,612,851,650</u>	<u>1,688,188,153</u>	<u>30,500,000</u>	<u>29,000,000</u>

- 15.1 Group's Investment Properties are stated at fair value, fair value has been determined on the basis of market value of land and buildings. Investment Properties are appraised in accordance with SLFRS 13, LKAS 40 and International Valuation Standards. Professional valuation was performed on the investment properties as at 31 March 2019 by the following Independent professional Valuers.

15.1.1 Company	Property	Valuer	
		2019	2018
Colombo City Holdings PLC	Union Place	Mr.S.Sivaskanth	Mr.S.Sivaskanth
Dankotuwa Porcelain PLC	Dankotuwa	Mr.S.Sivaskanth	Mr.Chulananda Wellappili
Royal Fernwood Porcelain Ltd	Kosgama	Mr.S.Sivaskanth	Mr.Chulananda Wellappili
Taprobane Securities (Pvt) Ltd	Kosgama	Mr. W.M Chandrasena	Mr. W.M Chandrasena
Ceylon Leather Products Limited	Mattakkuliya	Mr.Chulananda Wellappili	-
Lexinton Resorts (Pvt) Ltd	Kosgoda	Sunil Fernando Associates	Sunil Fernando Associates
Ambeon Capital PLC	Sigiriya	Mr.W.M. Chandrasena	Mr.W.M. Chandrasena

- 15.2 Group reclassified a part of land and buildings located in Mattakkuliya as investment property after engaging an independent valuer to determine the fair value of the property due to the change in use of the property.
- 15.3 Colombo City Holdings PLC has reported rental income amounting to LKR 8,893,895/- (2018 - LKR 9,279,413/-) from this investment property and incurred direct operating expenses (including repairs and maintenance) amounting to LKR 1,294,382/- (2018 - LKR 3,994,642/-).



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

15. INVESTMENT PROPERTY (Contd...)

15.4 The significant assumptions used by the valuer in the years 2019 and 2018 are as follows

Company	Property	Method of Valuation	Inputs used for measurement	2019 LKR	2018 LKR
Colombo City Holdings PLC	Land and Buildings (Union Place, Colombo)	Open Market Value	Per perch rate	18,000,000	16,000,000
		Replacement Cost	Per sq ft rate	5250-2500	4,750 - 2,000
Dankotuwa Porcelain PLC	Land (Dankotuwa)	Open Market Value	Per perch rate	5,000-145,000	3,125-65,000
Royal Fernwood Porcelain Ltd	Land (Kosgama)	Open Market Value	Per perch rate	60,000	40,000
Taprobane Securities (Pvt) Ltd	Land (Kosgama)	Open Market Value	Per perch rate	70,000	68,000
Ceylon Leather Products Limited	Land (Mattakkuliya)	Open Market value	Per perch rate	2,000,000	
	Building (Mattakkuliya)	Replacement Cost	Per sq ft rate	650 - 3,250	
Lexinton Resorts (Pvt) Ltd	Kosgoda- Balapitiya	Open Market Value	Per perch rate	395,000	385,000
Ambeon Capital PLC	Sigiriya	Open Market Value	Per Acre Rate	4,550,000	4,500,000

15.4.1 Description of significant unobservable inputs to valuation:

The significant unobservable inputs used in the fair value measurement categorised within Level 3 of the fair value hierarchy together with a quantitative sensitivity analysis as at 31 March 2019 and 2018 are as shown below:

Investment Property	Valuation technique	Significant unobservable inputs	Rate	Sensitivity of input to Fair value
Colombo City Holdings PLC				
As at 31 March 2019				
Land 47.2 perches (Street line 13.38 Perches)	Open Market value	Per perch rate	LKR 18,000,000 Per Perch	Positively correlated
Pharmacy Building 4,344 sqft	Replacement Cost	Per sqft rate	LKR 5,250 Per Sqft	Positively correlated
Mezzanine floor 1,100 sqft	Replacement Cost	Per sqft rate	LKR 2,500 Per Sqft	Positively correlated
As at 31 March 2018				
Land 47.2 perches (Street line 13.38 Perches)	Open Market value	Per perch rate	LKR 16,000,000 Per Perch	Positively correlated
Pharmacy Building 4,344 sqft	Replacement Cost	Per sqft rate	LKR 4,750 Per Sqft	Positively correlated
Mezzanine floor 1,100 sqft	Replacement Cost	Per sqft rate	LKR 2,000 Per Sqft	Positively correlated
Dankotuwa Porcelain PLC				
As at 31 March 2019				
Land 3,985.95 perches	Open Market value	Per perch rate	LKR 5,000 - 145,000	Positively Correlated
As at 31 March 2018				
Land 3,985.95 perches	Open Market value	Per perch rate	LKR 3,125 - 65,000	Positively Correlated
Royal Fernwood Porcelain Ltd				
As at 31 March 2019				
Land 1,753.07 perches	Open Market value	Per perch rate	LKR 60,000 Per Perch	Positively Correlated
As at 31 March 2018				
Land 1,753.07 perches	Open Market value	Per perch rate	LKR 40,000 Per Perch	Positively Correlated
Taprobane Securities (Pvt) Ltd				
As at 31 March 2019				
Land 1,162.5 perches	Open Market value	Per perch rate	LKR 70,000 Per Perch	Positively Correlated
As at 31 March 2018				
Land 1,162.5 perches	Open Market value	Per perch rate	LKR 68,000 Per Perch	Positively Correlated
Ceylon Leather Products Limited				
As at 31 March 2019				
Land 748 perches	Open Market value	Per perch rate	LKR 2,000,000 Per Perch	Positively correlated
Buildings 75,010 sqft	Replacement Cost	Per sqft rate	LKR 650- 3,250 Per Sqft	Positively correlated
Lexinton Resorts (Pvt) Ltd				
As at 31 March 2019				
Land 1,373 perches	Open Market value	Per perch rate	LKR 395,000 Per Perch	Positively correlated
As at 31 March 2018				
Land 1,373 perches	Open Market value	Per perch rate	LKR 385,000 Per Perch	Positively correlated
Ambeon Capital PLC				
As at 31 March 2019				
Land 8 Acres	Open Market value	Per Acre Rate	LKR 4,550,000 Per Acre	Positively correlated
As at 31 March 2018				
Land 8 Acres	Open Market value	Per Acre Rate	LKR 4,500,000 Per Acre	Positively correlated



Ambeon Capital PLC
NOTES TO THE FINANCIAL STATEMENTS
Year ended 31 March 2019

16. INVESTMENT IN SUBSIDIARIES

16.1 Investment in subsidiaries
16.1.1 Ordinary shares

As at 31 March

Effective Holdings	Direct Holding	No of Shares	COMPANY
2019	2018	2019	2018
%	%	Nos.	LKR
54.07	94.80	-	-
100.00	100.00	740,000	476,820,829
100.00	100.00	229,000,000	2,960,000
81.43	81.43	290,597,377	513,416,776
			4,334,676,415

16.1.2 Preference shares

Heron Agro Products (Pvt) Ltd

Impairment on investment - (16,121)

16.1.2.1 Impairment Provision - Lexington Holdings (Pvt) Ltd
Reversal during the year - Lexington Holdings (Pvt) Ltd
Impairment during the year - Heron Agro Products (Pvt) Ltd
Impairment on investment

16.1.3 Millennium I.T.E.S.P (Pvt) Ltd

Disposal of shares

On 4 April 2018 Ambeon Holdings PLC has disposed 547,575 of shares to Millennium Capital Investment Limited for a consideration of LKR 132 Mn

16.1.4 Disposal of investment in Millennium I.T.E.S.P (Pvt) Ltd to Eon Tec (Pvt) Ltd

On 02 August 2018 the company disposed 77.33% holdings in Millennium I.T.E.S.P (Pvt) Ltd for a total consideration of LKR 927 Mn. Eon Tec (Pvt) Limited was incorporated to hold investment in Millennium I.T.E.S.P (Pvt) Ltd. The company holds 78% in Eon Tec (Pvt) Limited

16.1.5 Acquisition of Lexington Financial Services (Pvt) Ltd by Taprobane Capital Plus (Pvt) Ltd

On 10 December 2018 Taprobane Capital Plus (Pvt) Limited acquired 100% of the issued shares of Lexington Financial Services (Pvt) Ltd for a total consideration of Rs. 5,236 (007/-) from Lexington Holdings (Pvt) Ltd

16.1.6 Disposal of Lexington Holdings (Pvt) Ltd

Disposal of Lexington Holdings (Pvt) Ltd - On 28 January 2019, Ambeon Capital PLC (72%) & Taprobane Investments (Pvt) Ltd (28%) disposed 100% of issued shares of Lexington Holdings (Private) Limited to Colombo City Holdings PLC for a total consideration of LKR 414,833,710/-

16.2 Investments in Sub Subsidiaries

Sub Subsidiaries	Investor	Effective Holding %	Principal Activities	Place of Principal Activities
2019	2018			
Lexington Financial Services (Pvt) Ltd	Taprobane Capital Plus (Pvt) Ltd	81.43	Carrying out Margin Trading	No 10 Gotham Road Colombo 08
Ceylon Leather Products Ltd	Ambeon Holdings PLC	81.35	Manufacturing and selling of Leather Footwear and Leather Goods	No 64 Belumalaha Mudungoda
Ceylon Leather Products Distributors (Pvt) Ltd	Ceylon Leather Products Ltd	81.35	Retail selling of leather footwear and leather goods	No 64 Belumalaha Mudungoda
South Asia Textiles Ltd	Ambeon Holdings PLC	79.53	Manufacturing and selling of Knitted fabrics for the export and local markets	No 70 Fels Das Dandaramvake, Navatulla, Pussala, Sri Lanka
Palla & Company (Pvt) Ltd	Ambeon Holdings PLC	81.35	Manufacturing shoes for export market - Cased Operations during the period	Spor Rd 4 Lot 25B Katunayake Export Promotion Zone
Dankouwa Porcelain PLC	Ambeon Holdings PLC	63.12	Manufacturing and selling of porcelain tableware to export and local markets	Factory and the showroom Kurumagala Road Dankotuwa
Royal Fernwood Porcelain Ltd	Dankotuwa Porcelain PLC	60.40	Manufacturing and selling of porcelain tableware to export and local markets	Wewellandura Estate Police station road Kosgama
Lanka Decals (Pvt) Ltd	Royal Fernwood Porcelain Ltd	60.40	Manufacturing Decals - No operations during the period	Wewellandura Estate Police station road Kosgama
Fernwood Lanka (Pvt) Ltd	Royal Fernwood Porcelain Ltd	60.40	Selling of porcelain tableware to domestic market - No operations during the period	Wewellandura Estate Police station road Kosgama
Ceylon Leather Holdings PLC	Ambeon Holdings PLC	54.07	Remaining out properties	No 505 Union Place Colombo 02
Ambeon Holdings PLC	Ambeon Holdings PLC	75.85	Engage in networking business solutions - No operations during the period	No 10 Gotham Road Colombo 08
Taprobane Capital Plus (Pvt) Ltd	Taprobane Capital Plus (Pvt) Ltd	81.43	Money Broking	No 10 Gotham Road Colombo 08
Taprobane Capital Plus (Pvt) Ltd	Taprobane Capital Plus (Pvt) Ltd	81.43	Share Broking	No 10 Gotham Road Colombo 08
Ambeon Holdings PLC	Ambeon Holdings PLC	81.43	Corporate Finance	No 10 Gotham Road Colombo 08
Ambeon Holdings PLC	Ambeon Holdings PLC	81.43	Investment Management	No 10 Gotham Road Colombo 08
Ambeon Holdings PLC	Ambeon Holdings PLC	63.52	Investment Holding	No 10 Gotham Road Colombo 08
Colombo City Holdings PLC	Ambeon Holdings PLC	54.07	Real estate Management	No 10 Gotham Road Colombo 10
Ambeon Holdings PLC	Ambeon Holdings PLC	49.05	IT Solutions	48 Sri Marcus Fernando Road Colombo 07



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

17. OTHER FINANCIAL ASSETS		Group		Company	
		2019 LKR	2018 LKR	2019 LKR	2018 LKR
Non Current Investments					
Amortized Cost	17.1	23,236,379	22,451,836	-	-
		<u>23,236,379</u>	<u>22,451,836</u>	<u>-</u>	<u>-</u>
Current Investments					
Amortized Cost	17.2	287,403,237	374,997,868	-	-
Fair Value through Profits or Losses	17.3.1	167,447,645	1,276,267,279	-	-
Fair value though OCI	17.3.2	566,705,269	-	-	-
Investment in Government Securities at amortized Cost	17.4	895,197,720	757,790,605	895,197,720	757,790,604
		<u>1,916,753,871</u>	<u>2,409,055,752</u>	<u>895,197,720</u>	<u>757,790,604</u>
17.1 Amortized Cost					
Investment in Government Securities		23,236,379	22,451,836	-	-
		<u>23,236,379</u>	<u>22,451,836</u>	<u>-</u>	<u>-</u>
17.2 Amortized Cost					
Current					
Bank Deposits		265,375,931	374,997,868	-	-
Commercial Paper *		22,027,306	-	-	-
		<u>287,403,237</u>	<u>374,997,868</u>	<u>-</u>	<u>-</u>

*Terms and conditions : Rate of interest at 15.75% - 17%

17.3 Investment in Equity Securities

As at 31st March

<i>As at 31st March</i>		2019		2018			
	No. of Shares	Cost LKR	Market Value LKR	No. of Shares	Cost LKR	Market Value LKR	
GROUP							
<i>Incorporated in Sri Lanka</i>							
17.3.1	<i>Fair Value through Profits or Losses</i>						
	Aitken Spence PLC	399	88.785	16,359	399	88.785	20.189
	Browns Investments PLC	16,295,761	31,138,931	24,443,640	134,469,935	454,310,883	363,068,825
	Pan Asia Banking Corporation PLC	-	-	-	43,930,641	823,593,973	720,462,512
	B P P L Holdings	645,100	7,578,680	6,386,490	645,100	7,578,680	8,515,320
	Seylan Bank PLC	2,175,175	203,356,714	136,600,990	2,122,122	203,356,714	184,200,190
	Ambeon Capital PLC	45	-	166	45	-	243
			<u>242,163,110</u>	<u>167,447,645</u>		<u>1,488,929,035</u>	<u>1,276,267,279</u>
17.3.2	<i>Fair value though OCI</i>						
	Pan Asia Banking Corporation PLC	43,930,641	823,593,973	566,705,269		-	-
			<u>823,593,973</u>	<u>566,705,269</u>		<u>-</u>	<u>-</u>

17.4 Investment in Government Securities

	Group		Company	
	2019 LKR	2018 LKR	2019 LKR	2018 LKR
Cost of the portfolio	892,762,001	776,278,201	892,762,001	776,278,201
Change in fair value	2,435,719	(18,487,596)	2,435,719	(18,487,595)
	<u>895,197,720</u>	<u>757,790,605</u>	<u>895,197,720</u>	<u>757,790,604</u>



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

18. INVENTORIES

		Group		Company	
		2019 LKR	2018 LKR	2019 LKR	2018 LKR
Raw Material		986,488,999	1,817,822,245	-	-
Work in Progress - Project in Progress		2,086,983,807	780,233,446	-	-
Finished Goods		1,001,024,813	921,538,075	-	-
Indirect Material		20,623,200	30,380,247	-	-
Spare Stock		24,940,897	31,381,652	-	-
Consumables		52,620,748	53,442,313	-	-
General Stock		16,477,780	15,889,549	-	-
Semi-Finished Goods		206,543,119	173,270,980	-	-
Packing Material		23,790,867	20,849,063	-	-
Others		24,105,747	20,949,387	-	-
Less - Allowance for Obsolete & Slow Moving Inventories	18.2	(468,764,827)	(440,201,391)	-	-
		3,974,835,150	3,425,555,566	-	-
Consumables and Spares		104,985,065	105,415,187	-	-
Goods Held for resale and maintenance inventory	18.1	7,543,185	81,669,021	-	-
Goods-In-Transit		153,552,706	145,411,774	-	-
		4,240,916,106	3,758,051,548	-	-
Total Inventories at the Lower of Cost and Net Realizable Value		4,240,916,106	3,758,051,548	-	-
18.1 Goods held for resale		1,768,926	300,603,810	-	-
Maintenance Inventory		154,271,320	81,812,466	-	-
		156,040,246	382,416,276	-	-
Provision for fall in value	18.2	(148,497,061)	(100,747,255)	-	-
		7,543,185	81,669,021	-	-

18.2 Allowance for Obsolete & Slow Moving Inventories

		Group		Company	
		2019 LKR	2018 LKR	2019 LKR	2018 LKR
Balance at the beginning of the year		740,948,646	359,067,304	-	-
Business Combination		-	300,747,255	-	-
Provision (Reversal) made during the year		(123,686,758)	81,134,087	-	-
Balance at the end of the year		617,261,888	740,948,646	-	-

18.1.1 Details of inventories pledged for borrowings are disclosed in Note 32

19. TRADE AND OTHER RECEIVABLES

		Group		Company	
		2019 LKR	2018 LKR	2019 LKR	2018 LKR
Trade Receivables		5,300,778,712	4,310,265,134	21,837,958	19,486,824
Provision for Bad and Doubtful Debts	19.2	(1,239,142,574)	(1,068,813,663)	(21,640,227)	(19,289,094)
		4,061,636,138	3,241,451,471	197,730	197,730
Loans Granted	19.1	124,552,803	131,211,224	678,741	678,741
Other Receivables		271,205,804	347,169,300	41,207,046	40,975,520
Other Receivables - Related Parties	19.3	12,905,130	42,690,109	45,342,649	60,734,793
Provision for Bad and Doubtful Debts	19.2	(34,498,849)	(37,583,933)	-	-
		4,435,801,027	3,724,938,172	87,426,166	102,586,785
Advances and Prepayments		1,569,242,733	284,717,516	1,237,381	2,178,770
		6,005,043,760	4,009,655,688	88,663,548	104,765,555
19.1 Loans Granted		2,065,060	66,315,749	-	-
Loans Granted - Individuals		124,447,934	66,855,666	1,191,674	1,191,674
Loans Granted - Institutions		(1,960,191)	(1,960,191)	(512,933)	(512,933)
Provision for Bad and Doubtful Debts		124,552,803	131,211,224	678,741	678,741
19.2 Provision for Bad and Doubtful Debts		1,106,397,596	314,834,172	19,289,094	17,205,708
Balance as at the beginning of the year		-	765,993,541	-	-
Business Combination		(2,133,261)	25,569,882	2,351,134	2,083,386
Provision (Reversal) made during the year		169,377,088	-	-	-
SLFRS 9 Impact		1,273,641,423	1,106,397,596	21,640,227	19,289,094
Balance at the end of the year		-	-	-	-

19.3 Amounts Due From Related Parties

	Relationship	2019 LKR	2018 LKR	2019 LKR	2018 LKR
Roshan Antony	Group Employee	-	1,671,586	-	-
Heron Agro Products (Pvt) Ltd	Subsidiary	-	-	22,598,508	45,761,087
Taprobane Capital Plus (Pvt) Ltd	Sub Subsidiary	-	-	14,729,065	-
	Company	-	-	-	-
Lexinton Resorts (Pvt) Ltd	Subsidiary Company	-	-	8,015,076	-
Ambeon Holdings PLC	Subsidiary	-	-	-	14,973,706
Group Director	Group Director	12,905,130	13,940,586	-	-
Group MD	Group MD	-	27,077,938	-	-
		12,905,130	42,690,109	45,342,649	60,734,793

19.4 An analysis of the age of financial assets that are past due as at the end of the reporting period but not impaired" as per SLFRS 7 is disclosed under note 28



20. CASH AND CASH EQUIVALENTS

	Group		Company	
	2019 LKR	2018 LKR	2019 LKR	2018 LKR
Cash at Bank	328,365,028	1,015,719,345	1,172,412	332,368
Cash in Hand	40,000	40,000	40,000	40,000
Short Term Investments	283,503,932	983,397,792	-	-
Bank Overdrafts used for cash management purposes	611,908,960	1,999,187,137	1,212,412	372,368
Cash & Cash Equivalents in the statement of cash flow	(1,423,547,246)	(2,760,999,591)	(34,970,688)	(2,010,095,205)
	(811,638,286)	(761,817,454)	(33,758,276)	(2,009,722,837)

21. STATED CAPITAL

	Group		Company	
	2019 LKR	2018 LKR	2019 LKR	2018 LKR
Issued Capital				
1,002,724,815 Ordinary Shares issued & fully paid	1,053,643,405	1,053,643,405	1,053,643,405	1,053,643,405

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

21.1 Amalgamation Reserve

Ambeon Capital PLC obtained a certificate of amalgamation from the Registrar of Companies to amalgamate its wholly owned subsidiary, Taprobane Equities (Private) Limited (TEL) with effect from 30 November 2017. The effect of this amalgamation is LKR 258 Mn.

21.2 Foreign Currency Translation Reserve

As at the reporting date, the assets and liabilities of the Indian Branch Operated by Dankotuwa Porcelain PLC and South Asia Textiles Limited were translated into the presentation currency at the exchange rate prevailing at the reporting date and the Income Statement is translated at the average exchange rate for the period. The exchange rate differences arising on the translation were taken directly to Currency Conversion Reserve, which is classified as a part of equity.

21.3 Dividend Per Share

	Company	
	2019 DPS	2018 LKR
Equity dividend on ordinary shares declared and paid during the year		
Final dividend	0.36	360,980,933
Total Dividend	0.36	360,980,933

22. INTEREST BEARING LOANS AND BORROWINGS

	Group		Company	
	2019 LKR	2018 LKR	2019 LKR	2018 LKR
Repayable after one year				
Loans from Non-Financial Institutions	22.1	-	316,919,661	-
Finance Leases	22.2	18,139,229	17,491,528	-
Bank Loans	22.3	2,738,336,807	1,926,486,512	-
Loans granted by Related Parties	22.4	-	822,198,621	-
		2,756,476,036	1,562,021,994	2,748,685,133
Repayable within one year				
Loans from Non-Financial Institutions	22.1	4,623,849	4,623,849	4,226,399
Finance Leases	22.2	1,441,953	3,400,000	-
Short Term Loan	22.5	1,645,628,275	2,254,332,825	-
Bank Loans	22.3	3,535,880,234	2,199,411,811	1,173,438,419
Loans granted by Related Parties	22.4	5,739,310	4,638,140	65,221,077
Bank Overdrafts		1,423,547,246	2,760,999,591	34,970,689
		6,616,860,868	7,227,008,764	1,278,254,033
		9,373,336,904	8,789,030,758	4,026,939,167
				3,645,760,172

22.1 Loans from Non-Financial Institutions

	As at 01.04.2018 LKR	Loans Write off LKR	Repayments LKR	Interest payable LKR	As at 31.03.2019 LKR
Repayable after one year					
GROUP					
Browns Investments PLC	22.1.1	78,222,653	(37,975,967)	(43,401,105)	3,154,419
S.F.L. Services (Pvt) Ltd	22.1.1	83,802,959	(40,685,127)	(46,497,289)	3,379,457
Brown & Company PLC	22.1.1	154,894,049	(75,198,827)	(85,941,516)	6,246,294
		316,919,661	(153,859,921)	(175,839,910)	12,780,170
Repayable within one year					
GROUP					
ASR Holdings (Pvt) Ltd	22.1.1	4,226,399	-	-	397,451
		4,226,399	-	-	397,451
COMPANY					
ASR Holdings (Pvt) Ltd		4,226,399	-	-	397,451
		4,226,399	-	-	397,451

22.1.1 Upon the completion of the novation of debt between Ambeon Holdings PLC and its Subsidiary (Dankotuwa Porcelain PLC), as per the agreement the debt has been transferred from Dankotuwa Porcelain PLC to Ambeon Holdings PLC on 28 December 2018. Accordingly LKR 329,557,668 - was transferred during the year. There was no outstanding balance at this at the end of the year.



Interest

10%
6%
6%
6%

Repayments Terms

on demand
By way of a "debt Novation Agreement"
By way of a "debt Novation Agreement"
By way of a "debt Novation Agreement"

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

22. INTEREST BEARING LOANS AND BORROWINGS (Contd..)

22.2 Finance Leases

	As at 01.04.2018 LKR	New Lease LKR	Repayment LKR	As at 31.03.2019 LKR
Board of Investment of Sri Lanka Gross Liability	34,000,000	-	(3,400,000)	30,600,000
	34,000,000	-	(3,400,000)	30,600,000
Gross Liability	34,000,000			30,600,000
Finance Charges allocated to future periods	(13,108,472)			(11,018,818)
Net liability	20,891,528			19,581,182

Security: Absolute ownership of the assets under lease will be with the lessor until the expiration of the lease period

22.2.1 This represents the finance lease arrangement between the Board of Investment of Sri Lanka and South Asia Textiles Ltd. which has a remaining lease period of 35 years

22.3 Bank Loans

	At the Beginning of the Year LKR	Business Acquisition LKR	Loans Obtained LKR	Repayment LKR	Accrued Interest LKR	Exchange Gain / Loss LKR	At The End of the year LKR
GROUP							
2019	3,427,022,616	-	72,962,152,006	(70,336,002,608)	220,817,881	227,146	6,274,217,041
2018	1,320,588,968	824,578,467	174,583,610,147	(173,536,375,012)	222,061,480	12,558,566	3,427,022,616
Repayable after one year							
Repayable within one year							
COMPANY							
2019	986,552,219	-	67,894,225,574	(65,813,951,016)	33,098,154	2,738,336,807	1,227,610,805
2018	431,045,313	-	172,685,318,501	(172,248,181,952)	118,370,357	3,535,880,234	2,199,411,811
Repayable after one year							
Repayable within one year							
2019							
2018							



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

22. INTEREST BEARING LOANS AND BORROWINGS (Contd.)

22.3.1 Terms and Conditions

Company	Lender/rate of interest (p.a.)	2019 LKR	2018 LKR	Repayment	Security
Ambeon Capital PLC	National Development Bank PLC - 15%	307,273,973	312,253,793	05 year term loan with One Year Grace period for Capital Re payment	Primary mortgage over 594 Perch freehold properties in Hiddaruwa, Balapitiya held by Lexington Resorts (Pvt) Ltd
	Seylan Bank PLC - 10%	792,650,959	674,298,423	Due on accepted date	Related treasury bond
	Seylan Bank PLC - Term- Loan (AWPLR +2.75%)	1,000,000,000		05 year term loan with One Year Grace period for Capital Re payment	112,790,122 Number Shares of Ambeon Holdings PLC
	Pan Asia Banking Corporation PLC - Term Loan 15.5%	1,000,000,000		04 year term loan with One Year Grace period for Capital Re payment	177,807,255 Number of shares of Ambeon Holdings PLC
Royal Fernwood Porcelain Ltd	Hatton National Bank PLC - Term loan USD (LIBOR + 5.25%) - Term loan LKR (AWPLR + 2.0% p a) - Import loan - EUR - Packing Credit loan - USD (AWPLR + 2%)	115,370,890 19,001,000 2,017,017 50,806,023	130,724,896 13,406,995 56,796,850	8.1 Equal monthly instalments of Rs. 14,272 8.1 Equal monthly instalments of Rs. 216,400 Semi-annual, Tri-annually, payable	Primary mortgage bond over immovable properties in the factory at Kosgama Primary mortgage bond over immovable properties in the factory at Kosgama
	- Packing Credit loan - Import loan (AWPLR + 2%)	20,000,000 14,562,138		Semi-annual, Tri-annually, payable	Secondary mortgage bond over land & building at Kosgama for R.A. d'Almeida
People's Bank	- Import letter of credit (Usance commission of 0.325%)			90 days from the loan granted	Title of goods shipped and indemnity of the consignee
	- Import loan (AWPLR + 2.0% to 4%) Foreign currency short term loan (AWPLR +4%) Bank Guarantee (Commission of 2.5%) Packing credit loan - USD		27,142,338	90 days from the loan granted 90 days from the loan granted Valid for a maximum period of one year	Corporate guarantee of Parent company Ambeon Holdings PLC
	DFCC Bank PLC - Import loan (AWPLR + 1.5%) - Packing credit loan USD - Packing credit loan EUR	33,563,766 34,486,592 106,294,925 1,811,240	26,204,712	120 days from the loan granted	Primary mortgage for Rs. 200,000,000 of holders up to a limit of USD 2,500,000 as the case may be over stocks kept in and bank deposit of the company together with in favour of the bank



South Asia Textiles Limited	Srinipatti Bank PLC Term loan - 1 (4% p a + 3 Months LIBOR with a Floor rate of 4.75% p a) Nations Trust Bank PLC- Term loan - 3 (LIBOR with a floor rate of 4.5% p a Nations Trust Bank PLC - Term loan - 4 (LIBOR with a floor rate of 4.5% p a People's Bank Term loan - 2 (4.5% p a + 6 Months LIBOR with a Floor rate of 5.25% p a)	34,307,095 186,207,393 136,619,879 320,000,250	51,000,200 410,652,900	Monthly LKR 2,050,747 Monthly LKR 4,910,848 Monthly LKR 3,858,535 Monthly LKR 12,590,000	Machinery, Household Building and furniture
Dankotuwa Porcelain PLC	Bank of Ceylon -Short term loan (AWPLR + 2.5% p a) - Packing Credit Loan USD (3 months LIBOR +4.5% subject to minimum of 5.25%) - Packing credit loan (AWPLR+2.0% p a) Srinipatti Bank PLC Packing credit loan (AWPLR+2.0% p a) Packing credit loan (LIBOR+2% subject to minimum of 5.25%) -Overdraft facility (AWPLR +2.0% p a) First Asia Banking Corporation PLC Packing credit loan (3 months LIBOR+4 % subject to minimum Short term loan (16.5% p a) DFCC Bank PLC Short term loan (AWPLR + 1.25%p a) Packing Credit loans (3 months LIBOR + 3.25% subject to minimum	50,000,000 15,131,436 25,000,000 56,242,054 30,912,329 43,553,151 40,756,164	Maximum 3 months Maximum 4 months Maximum 3 months Maximum 4 months Maximum 3 months Maximum 4 months	Maximum 3 months Maximum 4 months Maximum 3 months Maximum 4 months Maximum 3 months Maximum 4 months	Floating hypothecation over stocks and book debts of the company Hypothecation Bond for Rs. 1,000,000 over stocks and book debts of the company Mortgage bond for US \$ 1,000,000 over stocks and book debts for the value of 1.5 times of the face value Mortgage bond for Rs 80,000,000 over stocks and book debts for the value of 1.5 times of the face value
Ambeon Holdings PLC	Seylan Bank PLC Term loan 1 (01 Month AWPLR + 2.5%) Term loan - 2 (01 Month AWPLR + 3.0%) National Development Bank PLC Loan (14.75% p a) Seylan Bank - STL loan (16% p a)	600,000,000 225,000,000 29,000,000 50,000,000	1,000,000,000 300,000,000 	12 quarterly equal instalments of LKR 100 Mn each 12 quarterly equal instalments of LKR 25 Mn each	Quoted Shares
Millennium I T E S P (Pvt) Ltd	Hongkong & Shanghai Banking Corporation Import Finance loan (Tenor linked COF+ 2.5% per annum)	932,985,760	276,599,360	Within 180 Days	Mortgage over Inventory and Debtors

6,274,217.041	3,427,022,616
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NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

22. INTEREST BEARING LOANS AND BORROWINGS (Contd...)
As at 31st March

	Interest rate	Repayments Terms	Group		Company	
			2019 LKR	2018 LKR	2019 LKR	2018 LKR
22.4 Loans Payable to Related Parties						
Mr Eric Wikramanayake	13.50%	On Demand	5,739,310	4,638,140	-	-
Taprobane Investments (Pvt) Ltd	12.00%	On Demand	-	-	144,140,870	65,578,432
Taprobane Securities (Pvt) Ltd	13% - 13.5%	On Demand	-	-	172,369,812	178,918,109
Lexinton Holdings (Pvt) Ltd	11.5% - 12%	On Demand	-	-	162,506,058	122,523,663
Taprobane Wealth Plus (Pvt) Ltd	12.00%	On Demand	-	-	3,896,401	3,557,944
Ceylon Leather Products Ltd	13.00%	On Demand	-	-	-	122,074,918
Colombo City Holdings PLC	13.00%	On Demand	-	-	-	152,233,283
Ambeon Holdings PLC	14% - 15.75%	On Demand	-	-	74,948,486	-
Millennium L.T.E.S.P. (Pvt) Ltd	14.25%	On Demand	-	-	170,800,559	-
South Asia Textiles Limited	13.50%	On Demand	-	-	158,757,511	-
			<u>5,739,310</u>	<u>4,638,140</u>	<u>887,419,697</u>	<u>644,886,349</u>
Repayable after one year			-	-	822,198,621	-
Repayable within one year			5,739,310	4,638,140	65,221,077	644,886,349

22.4.1 Repayable to related parties

Balance as at 01/04/2018

Loan Obtained

Loan Repayment

Accrued Interest

Balance as at 31/03/2019

	Group	Company
	4,638,140	644,886,349
	-	1,096,814,555
	-	(965,759,908)
	1,101,170	111,478,701
	<u>5,739,310</u>	<u>887,419,697</u>

	At the Beginning of the Year LKR	Loans Obtained LKR	Repayment LKR	Exchange Gain/ Loss LKR	Accrued Interest LKR	At The End of the year LKR
22.5 Short Term Loans GROUP						
2019	2,254,332,825	7,212,776,968	(7,823,974,721)	(2,461,039)	4,954,242	1,645,628,275
2018	1,092,848,231	7,332,654,779	(6,215,365,243)	18,225,085	25,969,973	2,254,332,825

22.5.1	Company	Lender/rate of interest (p.a.)	2019 LKR	2018 LKR	Repayment	Security
South Asia Textiles Ltd	People's Bank - Trust Receipt Loans (2.75% p.a. - 3 months LIBOR with a Floor rate of 4.25% p.a.)		139,833,066	195,064,735	within a period of 90 days	Machineries, Leasehold Building and inventory were pledged as security
		Seylan Bank PLC Revolving Import Loans (3 months LIBOR + 2.8% p.a. with a floor rate of 4% p.a.)	227,686,762	512,980,180	within a period of 60 days	Machineries, Leasehold Building and inventory were pledged as security
		Nations Trust Bank PLC import finance loan (3% p.a. - 3 months LIBOR with a Floor rate of 3.25% p.a.)	141,338,392	89,278,365	within a period of 90 days	Machineries, Leasehold Building and inventory were pledged as security
		DFCC Bank PLC - Import Export Finance Loan (1 months LIBOR + 2.75% p.a.)	297,912,812	96,053,632	within a period of 120 days	Machineries, Leasehold Building and inventory were pledged as security
Ceylon Leather Products Limited	Peoples Bank - STL (AWPLR + 2% p.a.)		180,100,000	229,170,483	within a period of 150 days	Mortgage over Land, building and Immovable Machinery at Mattakuliya and Balumunahara
		Hatton National Bank PLC - STL (AWPLR + 2.5% p.a.)	223,948,660	157,112,131	within a period of 150 days	
		Bank of Ceylon - STL (AWPLR + 1.75% p.a.)	82,852,410	117,673,298	within a period of 150 days	Inventory and book debt were pledged
		Seylan Bank PLC STL-One month AWPLR + 2% per annum Import Finance loan	351,956,172	857,000,000	Bullet Payment (interest to be serviced monthly)	Corporate guarantee from Ambeon Holding PLC
			<u>1,645,628,275</u>	<u>2,254,332,825</u>		



23. RETIREMENT BENEFIT OBLIGATION		Group		Company	
		2019 LKR	2018 LKR	2019 LKR	2018 LKR
	Present value of unfunded gratuity	400,791,670	410,048,970	-	4,615,058
		<u>400,791,670</u>	<u>410,048,970</u>	<u>-</u>	<u>4,615,058</u>
23.1	Provision for Retiring Gratuity				
	Balance at the beginning of the year	410,048,970	260,078,371	4,615,058	3,888,054
	Current service cost	38,861,097	30,830,872	-	424,400
	Interest cost	41,975,308	32,132,264	-	466,566
	Actuarial losses/(gains)	(26,703,131)	32,800,239	-	(163,962)
	Business acquisitions during the year	-	89,636,996	-	-
	Exchange Adjustment	(2,003,754)	-	-	-
	Payment made during the year	(62,910,528)	(35,677,973)	-	-
	Transfers	1,523,707	248,201	(4,615,058)	-
	Balance at the end of the year	<u>400,791,670</u>	<u>410,048,970</u>	<u>-</u>	<u>4,615,058</u>
23.2	Expenses recognized in Comprehensive Income				
	Current service cost	38,861,097	30,830,872	-	424,400
	Interest cost	41,975,308	32,132,264	-	466,566
		<u>80,836,405</u>	<u>62,963,136</u>	<u>-</u>	<u>890,966</u>
23.3	Expenses recognized in Other Comprehensive Income				
	Actuarial losses/(gains)	(26,703,131)	32,800,239	-	(163,962)
		<u>(26,703,131)</u>	<u>32,800,239</u>	<u>-</u>	<u>(163,962)</u>

23.4 The cost of gratuity is determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, staff withdrawals and mortality rates. Due to the complexity of the valuation, the underlying assumptions and its long-term nature, the defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

23.5	Principal actuarial assumptions used are as follows :	Group 2019	Group 2018
	(i) Rate of interest	11.25%	10%
	(ii) Rate of salary increment	7.50%	7.5% - 10%
	(iii) Staff turnover factor (as a %)	5.00%	5% - 10%
	(iv) The Company will continue as a going concern		
	(v) Retirement Age	55 Years	55 Years

23.6 Sensitivity Analysis

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would affected the defined benefit obligation by the amounts shown below.

	Group		Company	
	2019 LKR	2018 LKR	2019 LKR	2018 LKR
Discount Rate - (1% Increase)	(17,031,938)	(25,499,223)	-	(404,490)
Discount Rate - (1% Decrease)	18,805,033	27,885,691	-	453,985
Salary Increment Rate - (1% Increase)	22,817,395	28,084,184	-	488,426
Salary Increment Rate - (1% Decrease)	(21,222,448)	(14,810,464)	-	(439,830)

23.7 Maturity Profile of the Defined Benefit Plan

	Group		Company	
	2019 LKR	2018 LKR	2019 LKR	2018 LKR
Within Next 12 Months	67,232,393	62,879,949	-	29,761
Between 1 - 2 Years	84,936,783	67,967,490	-	-
Between 2 - 5 Years	104,481,259	100,638,380	-	194,158
Between 5- 10 Years	90,605,685	103,303,666	-	4,391,139
Beyond 10 years	53,535,550	75,259,485	-	-
	<u>400,791,670</u>	<u>410,048,970</u>	<u>-</u>	<u>4,615,058</u>



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

24	CONTRACT LIABILITY	Company	
		2019 LKR	2018 LKR
24.1	Deferred Income -Grant		
	Balance at the beginning of the year	-	387,745
	Amortization for the year	-	(387,745)
	Balance at the end of the year	-	-

The Waste Water treatment project of Dankotawa Porcelain PLC was completed on March 2008 & it is capitalized under the relevant classification of Property, Plant & Equipment. Hence corresponding grant component is reflected under Deferred Income -Grant is amortized over the useful life of (10 years) which is the estimated life of the asset.

24.2	Contract Liability -Service Agreements	Company	
		2019 LKR	2018 LKR
	Balance at the beginning of the year	748,150,496	-
	Business Acquisition	-	506,418,642
	Deferred During the year	705,392,567	1,003,611,016
	Transferred to revenue during the year	(746,678,985)	(771,257,634)
	Derecognized during the year	-	9,378,472
	Balance at the end of the year	706,864,079	748,150,496

Revenue from Contract Liability is recognized periodically throughout the service agreement period entered between Millennium IT E S P (Pvt) Ltd and service clients and expected to be completed in year 2020/21.

25.	DEFERRED TAX	Group		Company	
		2019 LKR	2018 LKR	2019 LKR	2018 LKR
	Deferred Tax Asset				
	Balance as at the beginning of the year	274,360,132	71,588,610	18,270,536	991,831
	Business Acquisition	-	91,839,883	-	-
	Recognized in profit or loss	(68,292,426)	112,776,412	(1,068,362)	17,324,614
	Recognized in other comprehensive income	-	(230,058)	-	(45,909)
	Business Disposal	-	(1,614,715)	-	-
	Impact of adapting SLFRS 9	33,302,256	-	-	-
	Assets Classified as Held for Sale/ Discontinued Operations	1,129,376	-	-	-
	Transfers between Deferred Tax Liability and (Asset)	(79,738,014)	-	-	-
	Balance as at the end of the year	160,761,323	274,360,132	17,202,174	18,270,536
	Deferred Tax Liability				
	Balance as at the beginning of the year	620,479,220	239,772,085	-	-
	Business Acquisition	3,136,002	-	-	-
	Exchange Equalization Reserve	(52,957,057)	-	-	-
	Recognized in profit or loss	168,490,087	(129,602,226)	-	-
	Recognized in other comprehensive income	160,906,385	510,518,046	-	-
	Business Disposal	-	(208,685)	-	-
	Assets classified as held for sale (Note 4)	-	-	-	-
	Impact of adapting SLFRS 9	(9,552,373)	-	-	-
	Transfers between Deferred Tax Liability and (Asset)	(79,737,978)	-	-	-
	Balance as at the end of the year	810,764,286	620,479,220	-	-
	Net Deferred Tax Asset / (Liability)	(650,002,963)	(346,119,088)	17,202,174	18,270,536
	Transfer from/(to) Statement of Profit or Loss				
	Transfer from accelerated depreciation and others	(241,613,716)	242,294,863	(1,068,362)	17,324,614
		(241,613,716)	242,294,863	(1,068,362)	17,324,614
	Transfer from/(to) Other Comprehensive Income				
	Tax on Revaluation Gain	(145,989,358)	(519,300,584)	-	-
	Employee Benefit Liability	(12,092,447)	8,636,253	-	(45,910)
		(158,081,805)	(510,664,331)	-	(45,910)
	Composition of deferred tax assets/ (liabilities) as follows:				
	Property, Plant and Equipment	(442,012,453)	(363,741,201)	(28,245)	(73,208)
	Retirement Benefit Obligation	91,168,328	102,078,383	-	1,292,216
	Revaluation of Land and Building to Fair Value	(869,798,913)	(639,733,674)	(350,000)	(200,000)
	Losses available for offset against future Taxable Income	321,861,180	390,309,945	-	-
	Others*	248,778,895	164,967,459	17,580,419	17,251,528
		(650,002,963)	(346,119,088)	17,202,174	18,270,536

The above deferred tax asset arising from carried forward tax losses has been determined based on a financial budget approved by senior management to the extent of sufficient taxable profit are available.

The above deferred tax arises from timing difference of depreciation, impairment of debtors, unutilized portion of carried forward tax losses and gratuity. The deferred tax arising from the unused tax losses amounting to LKR 877 million has not been recognised as the management is not certain whether there will be sufficient taxable profit to be utilized.

*Accumulated Deferred Tax Asset recognised on provision for debtors, provision for inventory and share based payment provision



26. TRADE AND OTHER PAYABLES

	Group		Company	
	2019	2018	2019	2018
	LKR	LKR	LKR	LKR
Trade Payables	3,838,541,519	3,052,564,686	-	-
Other Payables	339,645,203	332,489,121	-	-
Other Payables - Related Parties	-	-	-	-
Employee Share Appreciation Rights (ESAR)	41,821,436	29,574,048	41,821,436	29,574,048
Accrued & Other Payables	702,454,145	263,578,527	1,847,888	1,886,559
	<u>4,922,462,303</u>	<u>3,678,206,382</u>	<u>43,669,324</u>	<u>31,460,607</u>

27. OTHER FINANCIAL LIABILITIES

Preference Shares	27.1			
Employee Share Appreciation Rights (ESAR)	27.2			
		921,026	897,086	
		20,965,777	32,038,552	32,038,552
		<u>21,886,803</u>	<u>32,935,638</u>	<u>32,038,552</u>

27.1 Preference Shares

	No. of Shares	Group	Company
		Carrying Value 2019 LKR	Carrying Value 2019 LKR
	170,625	921,026	
		<u>921,026</u>	<u>897,086</u>

Financial Liabilities at amortised cost

Preference Shares

27.2 Employee Share Appreciation Rights (ESAR)

Group CEO receives benefits in the form of Share based payments, whereby, he renders services to increase performance of the Group. Liability is recognized for the fair value of cash settled transactions. The fair value is measured initially and at each reporting date up to and including the settlement date, with changes in fair value recognized in employee benefit expense. The fair value is expensed over the period until the vesting date with recognition of a corresponding liability. The fair value is determined using the binomial model.

Granting of the variable ESAR will be dependent on the achievement of pre-determined performance target

Movement In the Year

	Group		Company	
	Repayable after one year 2019 LKR	Repayable within one year 2018 LKR	Repayable after one year 2019 LKR	Repayable within one year 2018 LKR
Outstanding at the beginning of the year	32,038,552	29,574,048	32,038,552	29,574,048
Adjustment during the Year	(11,072,775)	12,247,388	(11,072,775)	12,247,388
Outstanding at the end of the year	<u>20,965,777</u>	<u>41,821,436</u>	<u>20,965,777</u>	<u>41,821,436</u>

Following table lists the inputs to the binomial model used for valuation of the liability as at March 2019

	2018/19	2017/18
Expected Volatility	59.30%	73.22%
Expected dividend yield	10.40%	10.68%
Expected time to maturity	5	4

Expected Volatility



Expected dividend yield is the assumption that the historical volatility is indicative of future trends, which may not necessarily be the actual outcome at a future date

28.1 Accounting Classification and Fair Values

GROUP

The carrying amount of cash and bank balances are approximate fair values due to the relatively short maturity of the financial instruments or other factors. The carrying value has been considered as the fair value due to uncertainty of the timing of the cash flows



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

28. ASSETS AND LIABILITIES

31 March 2018

Financial Assets and Non Financial Assets measured at fair value

	Notes	Fair value through P&L	Fair value through OCI	Amortized Cost	Financial Liabilities	Total	Level 1	Level 2	Level 3	Total
Investment in Quoted Securities	17.3	1,276,267,279	-	-	-	1,276,267,279	1,276,267,279	-	-	1,276,267,279
Investment in Government Securities	17.4	757,790,604	-	-	-	757,790,604	757,790,604	-	-	757,790,604
Investment Property	15	-	-	-	-	-	-	-	1,688,188,153	1,688,188,153
Property Plant and Equipment	12	-	-	-	-	-	-	-	2,826,944,944	2,826,944,944
		2,034,057,883	-	-	-	2,034,057,883	2,034,057,883	-	4,515,133,097	6,549,190,981

Financial Assets not measured at fair value

Investment in Government Securities	17.1	-	-	22,451,836	-	22,451,836	-	-	-	-
Bank Deposits	17.2	-	-	374,997,868	-	374,997,868	-	-	-	-
Trade Receivables	19	-	-	3,724,938,172	-	3,724,938,172	-	-	-	-
Cash & Cash Equivalents	20	-	-	1,999,187,137	-	1,999,187,137	-	-	-	-
		-	-	6,121,575,013	-	6,121,575,013	-	-	-	-

Financial Liabilities not measured at fair value

Employee Share Appreciation Rights (ESAR)	27.2	-	-	-	32,038,552	32,038,552	-	-	-	-
Loans from Non-Financial Institutions	22.1	-	-	-	321,146,060	321,146,060	-	-	-	-
Finance Leases	22.2	-	-	-	20,891,528	20,891,528	-	-	-	-
Bank Loans	22.3	-	-	-	3,427,022,616	3,427,022,616	-	-	-	-
Loans granted by Related Parties	22.4	-	-	-	4,638,140	4,638,140	-	-	-	-
Short Term Loan	22.5	-	-	-	2,254,332,825	2,254,332,825	-	-	-	-
Trade and Other Payables	26	-	-	-	3,385,053,807	3,385,053,807	-	-	-	-
Bank Overdraft	20	-	-	-	2,760,999,591	2,760,999,591	-	-	-	-
		-	-	-	12,206,123,110	12,206,123,110	-	-	-	-

The carrying amount of cash and bank balances are approximate fair values due to the relatively short maturity of the financial instruments

Carrying values of financial liabilities have been considered as the fair value, due to uncertainty of the timing of the cash flow



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

28. FINANCIAL ASSETS AND LIABILITIES (Contd...)

28.2 Accounting Classification and Fair Values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

COMPANY

31 March 2019	Notes	Carrying Amount LKR			Fair Value LKR					
		Fair value through P&L	Fair value through OCI	Amortized Cost	Financial Liabilities	Total	Level 1	Level 2	Level 3	Total
<i>Financial Assets measured at fair value</i>										
Investment in Quoted Securities	17.3	-	-	-	-	-	-	-	-	-
Investment in Government Securities	17.4	(892,762,001)	-	-	-	892,762,001	895,197,720	-	-	895,197,720
Investment Property	15	-	-	-	-	-	-	-	30,500,000	30,500,000
		892,762,001	-	-	-	(892,762,001)	(895,197,720)	-	30,500,000	925,697,720
<i>Financial Assets not measured at fair value</i>										
Trade Receivables	19	-	-	87,426,166	-	87,426,166	-	-	-	-
Cash & Cash Equivalents	20	-	-	1,212,412	-	1,212,412	-	-	-	-
		-	-	88,638,578	-	88,638,578	-	-	-	-
<i>Financial Liabilities not measured at fair value</i>										
Employee Share Appreciation Rights (ESAR)	27.2	-	-	-	20,965,777	20,965,777	-	-	-	-
Loans from Non-Financial Institutions	22.1	-	-	-	4,623,849	4,623,849	-	-	-	-
Bank Loans	22.3	-	-	-	3,099,924,931	3,099,924,931	-	-	-	-
Loans granted by Related Parties	22.4	-	-	-	887,419,697	887,419,697	-	-	-	-
Bank Overdraft	20	-	-	-	34,970,688	34,970,688	-	-	-	-
		-	-	-	4,047,904,943	4,047,904,943	-	-	-	-

The carrying amount of cash and bank balances are approximate fair values due to the relatively short maturity of the financial instruments. For other receivables the carrying value has been considered as the fair value due to uncertainty of the timing of the cash flows.



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

28. FINANCIAL ASSETS AND LIABILITIES (Contd...)

31 March 2018	Notes	Fair value through P&L	Fair value through OCI	Amortized Cost	Financial Liabilities	Total	Level 1	Level 2	Level 3	Total
<i>Financial Assets measured at fair value</i>										
Investment in Quoted Securities	17.3	-	-	-	-	-	-	-	-	-
Investment in Government Securities	17.4	776,278,201	-	-	-	776,278,201	757,790,605	-	-	757,790,605
Investment Property	15	-	-	-	-	-	-	-	29,000,000	29,000,000
		776,278,201	-	-	-	776,278,201	757,790,605	-	29,000,000	786,790,605
<i>Financial Assets not measured at fair value</i>										
Trade Receivables	19	-	-	102,586,785	-	102,586,785	-	-	-	-
Cash & Cash Equivalents	20	-	-	372,368	-	372,368	-	-	-	-
		-	-	102,959,153	-	102,959,153	-	-	-	-
<i>Financial Liabilities not measured at fair value</i>										
Employee Share Appreciation Rights (ESAR)	27.2	-	-	-	32,038,552	32,038,552	-	-	-	-
Loans from Non-Financial Institutions	22.1	-	-	-	4,226,399	4,226,399	-	-	-	-
Bank Loans	22.3	-	-	-	986,552,219	986,552,219	-	-	-	-
Loans granted by Related Parties	22.4	-	-	-	644,886,349	644,886,349	-	-	-	-
Bank Overdraft	20	-	-	-	2,010,095,205	2,010,095,205	-	-	-	-
		-	-	-	3,677,798,724	3,677,798,724	-	-	-	-

The carrying amount of cash and bank balances are approximate fair values due to the relatively short maturity of the financial instruments. Carrying values of financial liabilities have been considered as the fair value, due to uncertainty of the timing of the cash flow.



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

28. FINANCIAL ASSETS AND LIABILITIES (Contd...)

28.3 Classification and measurement of financial assets and financial liabilities

The following table shows and reconciles the original measurement categories as per LKAS 39 - "Financial Instruments: Recognition and measurement" and the new measurement categories as per SLFRS 9 - "Financial Instruments" along with their carrying amounts for each class of the Company's financial assets and financial liabilities as at 1 April 2018.

	SLFRS 9				Group	
	Original Classification	New Classification	31 March 2018 Reported	Impact - Group	Classifications	01 April 2018 Restated
Assets						
Deferred Tax Asset			274,360,132	33,302,256	-	307,662,388
Trade & Other Receivables - A	Amortized Cost	Amortized Cost	4,009,655,688	(169,377,088)	-	3,840,278,600
Other Financial Assets - Fair Value through P/L - B	Fair Value through P/L	Fair Value through P/L	1,276,267,279	-	(720,462,512)	555,804,767
Other Financial Assets - Fair Value through OCI - B	Fair Value through OCI	Fair Value through OCI	-	-	720,462,512	720,462,512
Other Financial Assets - Bank Deposits	Amortized Cost	Amortized Cost	374,997,868	-	-	374,997,868
Cash in Hand and at Bank	Amortized Cost	Amortized Cost	1,999,187,137	-	-	1,999,187,137
Liabilities						
Deferred Tax Liability - C			620,479,220	(9,552,373)	-	610,926,847
Interest Bearing Loans & Borrowings	Amortized Cost	Amortized Cost	1,562,021,994	-	-	1,562,021,994
Trade and Other Payables	Amortized Cost	Amortized Cost	3,678,206,382	-	-	3,678,206,382
Interest Bearing Loans & Borrowings	Amortized Cost	Amortized Cost	7,227,008,765	-	-	7,227,008,765
				(126,522,459)		
Equity						
Retained Earnings			2,140,513,431	(73,243,958)	83,979,949	2,151,249,422
OCI Reserve			-	-	(83,979,949)	(83,979,949)
Non Controlling Interest			2,428,238,516	(53,278,501)	-	2,374,960,015
				(126,522,459)		
Trade & Other Receivables - A						

The adoption of SLFRS 9 has fundamentally changed the Group accounting for debtors impairments by replacing LKAS 39's incurred loss approach with a forward-looking expected credit loss (ECL) approach



The Group has reclassified its Financial assets under fair value through profit or loss and reclassified the financial assets as fair value through profit or loss and fair value through OCI financial assets based on the Group business model for managing assets. Accordingly, the reclassification impact has been transferred from retained earnings to fair value through OCI reserve.

The Group has measured Deferred Tax impact on expected credit loss approach for debtors impairment

29. COMMITMENTS AND CONTINGENT LIABILITIES**29.1 Commitments and Contingent Liabilities - Company**

The company does not have significant capital commitment and

29.2 Commitments and Contingent Liabilities - Group**29.2.1 Ambeon Holdings PLC****Bank Guarantees**

Guarantees given to Tax Appeal Commission on behalf of the company

2019	2018
LKR Mn	LKR Mn

825

Guarantees given to following facilities on behalf of South Asia Textiles Ltd:
People's Bank PLC (USD 4.4Mn)

804

Guarantees given to following facility on behalf of Royal Fernwood Porcelain Ltd:
People's Bank PLC

65

65

Guarantees given to following facility on behalf of Millennium I.T.E.S.P. (Pvt) Limited;
Seylan Bank PLC

2,000

2,000

29.2.2 Ceylon Leather Products Limited**Letters of Credit and Bank Guarantees**

2019	2018
LKR Mn	LKR Mn

Letters of Credit Opened with Banks favoring suppliers

10.15

24.30

Guarantees Issued by Banks on behalf of the Company

33.86

33.40

Guarantees given to following facilities on behalf of South Asia Textile Ltd:
People's Bank of Sri Lanka (USD 4,500,000)
DFCC Bank PLC (USD 2,500,000)

-

-

-

-

Guarantees given to Palla & Company (Pvt) Ltd;

-

-

29.2.3 Royal Fernwood Porcelain Limited**Letter of Credit**

2019	2018
LKR Mn	LKR Mn

Letter of credit opened with Banks favoring suppliers

50

50

29.2.4 South Asia Textiles Ltd**Operating Lease Commitments**

The Company has an operating lease for land. This lease has a term of renewal but no purchase option and escalation clause. Renewals are at the option of the specific entity that holds the lease. Future lease payments under operating lease contract are as follows:

2019	2018
LKR Mn	LKR Mn

Within one year

3

3

After one year but not more than five years

15

15

More than five years

12

12

Present value of minimum lease payments

30

30

29.2.5 Lexinton Holdings (Pvt) Limited**Bank Guarantee**

2019	2018
LKR Mn	LKR Mn

Guarantees given to Tax Appeal Commission on behalf of the company

18.90

18.90

29.2.6 Taprobane Securities (Pvt) Limited**Bank Guarantee**

2019	2018
LKR Mn	LKR Mn

Guarantees given to Colombo Stock Exchange on behalf of the company

1.75

1.75

29.2.7 Millennium I.T.E.S.P (Pvt) Limited**Performance Bonds**

2019	2018
LKR Mn	LKR Mn

Tender Bonds

109

138

Performance Bonds

18

10

Tender Bonds

USD Mn	USD Mn
--------	--------

0.96

1.40

0.05

0.05

29.2.8 There are no material issues pertaining to employees and industrial relations of the Group during the financial year

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

30. RELATED PARTY TRANSACTIONS

30.1 Identity of related parties

The Company has related party relationship with its subsidiaries, associates, affiliates companies

30.2 Transaction with / between subsidiaries and the parent company

Company	Relationship	Nature of transaction	Amount	Balance (due)/from as at 31/3/2019	Balance (due)/from as at 31/3/2018	Aggregate Value of RPT exceeds 10% of the Gross Revenue	Terms & Conditions of the RPT exceeds 10% of Gross Revenue
Taprobane Investments (Pvt) Ltd	Sub subsidiary	Brokerage on money broking	(440,051)	-	-	-	-
		Brokerage paid	501,658	-	-	-	-
		Common expenses -reimbursement	150,656	-	-	-	-
		Common expenses - allocation	(1,727,874)	-	-	-	-
		Settlement - Fund Transfers	1,577,217	-	-	-	-
		Shared service & consultancy fees	-	0.00	(61,607)	-	-
		Loan taken	(123,350,000)	-	-	-	-
		Loan settlement	54,380,000	-	-	-	-
		Interest charged	(9,592,438)	(144,140,870)	(65,578,432)	-	-
Lexington Holdings (Pvt) Ltd.	Sub subsidiary	Common expenses -reimbursement	6,166	-	-	-	-
		Common expenses - allocation	(2,025,326)	-	-	-	-
		Settlement - Fund Transfers	2,019,160	0.00	-	-	-
		Loan taken	(44,679,621)	-	-	-	-
		Loan settlement	21,649,622	-	-	-	-
		Interest charged	(16,952,395)	(162,506,057)	(122,523,663)	-	-
Taprobane Securities (Pvt) Ltd	Sub subsidiary	Common expenses -reimbursement	195,822	-	-	-	-
		Common expenses - allocation	(357,562)	-	-	-	-
		Settlement - Fund Transfers	161,740	(0.00)	-	-	-
		Loan taken	(75,784,648)	-	-	-	-
		Loan settlement	104,268,738	-	-	-	-
		Interest charged	(21,935,794)	(172,369,813)	(178,918,109)	-	-
		Loan taken	-	-	-	-	-
		Loan settlement	100,000	-	-	-	-
		Interest charged	(438,457)	(3,896,401)	(3,557,944)	-	-



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

30. RELATED PARTY TRANSACTIONS (Contd...)

30.2 Transaction with / between subsidiaries and the parent company (Contd...)

Company	Relationship	Nature of transaction	Amount	Balance (due)/from as at 31/3/2019	Balance (due)/from as at 31/3/2018	Aggregate Value of RPT exceeds 10% of the Gross Revenue	Terms & Conditions of the RPT exceeds 10% of Gross Revenue
Heron Agro Products (Pvt) Ltd	Fully owned subsidiary	Loan granted	2,308,400	-	-	-	-
		Settlement -fund transfers	(30,000,000)	-	-	-	-
		Interest income on loans and borrowings	4,529,021	22,598,508	45,761,088	-	-
Lexington Resorts (Pvt) Ltd	Fully owned subsidiary	Loan granted	7,370,000	-	-	-	-
		Settlement -fund transfers	-	-	-	-	-
		Interest income on loans and borrowings	645,076	8,015,076	-	-	-
Ambeon Holdings PLC	Subsidiary	Loan taken	(337,973,993)	-	-	-	-
		Loan settlement	259,063,822	-	-	-	-
		Interest charged	(11,012,022)	(74,948,487)	14,973,706	-	-
Ceylon Leather Products Ltd	Sub subsidiary	Loan taken	123,256,877	(0)	(122,074,918)	-	-
		Loan settlement	(1,181,959)	-	-	-	-
		Interest charged	-	-	-	-	-
Colombo City Holdings PLC	Sub subsidiary	Loan taken	-	-	-	-	-
		Loan settlement	172,474,337	-	-	-	-
		Interest charged	(20,241,054)	(0)	(152,233,283)	-	-
Millennium I.T.E.S.P. (Private) Limited	Subsidiary	Loan taken	(150,000,000)	-	-	-	-
		Loan settlement	-	-	-	-	-
		Interest charged	(20,800,559)	(170,800,559)	-	-	-
South Asia Textiles Limited	Subsidiary	Loan taken	(150,000,000)	-	-	-	-
		Loan settlement	-	-	-	-	-
		Interest charged	(8,757,511)	(158,757,511)	-	-	-



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

30. RELATED PARTY TRANSACTIONS (Contd...)

30.2 Transaction with / between subsidiaries and the parent company (Contd...)

Company	Relationship	Nature of transaction	Amount	Balance (due)/from as at 31/3/2019	Balance (due)/from as at 31/3/2018	Aggregate Value of RPT exceeds 10% of the Gross Revenue *	Terms & Conditions of the RPT exceeds 10% of Gross Revenue
ARRC Capital (Pvt) Ltd	Affiliated Company	Common expenses -reimbursement Shared service & consultancy fees Settlement -fund transfers	6,166 300,000 (306,166)	- - (0,000)	- - -	- - -	- - -
		Loan taken	(230,000,000)	-	-	-	-
		Loan settlement	230,566,513	-	-	-	-
		Interest charged	(566,513)	-	-	-	-
Taprobane Capital Plus (Pvt) Ltd	Affiliated Company	Common expenses -reimbursement Common expenses - allocation Shared service & consultancy fees Settlement -fund transfers	5,546 (4,226,481) (10,800,000) 29,750,000	- - - 14,729,065	- - - -	- - - -	- - - -

* Recurrent related party transactions

There were no recurrent related party transactions which in aggregate value exceeds 10% of the consolidated revenue of the Group as per 31 March 2019 audited financial statements, which required additional disclosures in the 2018/19 Annual Report under Colombo Stock Exchange listing Rule 9.3.2 and Code of Best Practices on Related Party Transactions under the Securities and Exchange Commission Directive issued under Section 13(c) of the Securities and Exchange Commission Act.

30.3 Transaction with other entities

Other Related Parties

	Group			Company	
	2019 LKR	2018 LKR	2019 LKR	2018 LKR	
Sale of Goods	1,109,224,225	990,813,277	-	-	-
Loan Interest Receivable / (Payable)	9,342,268	(1,620,000)	-	-	-
Investment in Shares	-	533,358	-	-	-
Investment in Commercial Papers	21,200,000	-	21,200,000	-	-
Loans Granted	54,500,000	40,000,000	-	-	-
Interest earned on Investment in Commercial Papers (Receipts) / Payments for Goods / Services	827,306	-	827,306	-	-
	(1,033,989,541)	(907,519,434)	-	-	-

Transaction arrangements and agreements involving Key Management Personnel (KMPs) and their Close Family Members (CFMs), and Entities which are controlled, jointly controlled or significantly influenced by the KMPs and their CFMs or shareholders who have either control, jointly control or significant influence over the entity.

Other Related Parties include: (Interim) International Exports (Pvt) Ltd, CHIC Investments (Pvt) Ltd, United Hotels Company (Pvt) Ltd, Suisse Hotel Kandy (Pvt) Ltd and Ceylon Hotel Corporation Ltd

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

30. RELATED PARTY TRANSACTIONS (Contd....)**30.4 Transactions with Key Management Personnel**

Key management personnel include members of the Board of directors of Ambeon Capital PLC and its subsidiary companies. The transactions with key management personnel are carried out on an arms length basis.

<i>As at 31 March</i>		Group		Company	
	2019	2018	2019	2018	
30.4.1 Key Management Personnel Compensation	LKR	LKR	LKR	LKR	
Short-term employee benefits	151,351,770	170,714,269	9,475,378	13,949,800	
Share-based Payment	-	29,000,000	-	29,000,000	
Loan Obtained	-	-	-	-	
Settlement of Loan	(27,475,337)	-	-	-	
Net Interest	397,399	1,629,783	-	-	

30.5 Terms and conditions of transactions with related parties

Transactions with related parties are carried out in the ordinary course of the business. Outstanding current account balances at year end are unsecured and settlement occurs in cash. Interest bearing borrowings are at pre-determined interest rates and terms.

30.6 Non Recurrent Related Party Transactions

There were no non-recurrent related party transactions that exceeded the thresholds that required the immediate market disclosure or shareholder approval as required under Section 9 of the Continuing Listing Requirement of the Colombo Stock Exchange .

31. EVENTS OCCURRING AFTER REPORTING PERIOD

No circumstances have arisen since the reporting date, which would require adjustment to or disclosure in the financial statements.



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2019

32. ASSETS PLEDGED

Nature of Assets	Nature of Liability	Carrying Amount Pledged		Included under
		2019 LKR mn	2018 LKR mn	
32.1 Assets Pledged by Ambeon Capital PLC				
Investment in Shares - 290.6 Mn Ambeon Holdings PLC Shares	Pledge for Facility Granted by Seylan Bank PLC & Pan Asia Bank	4,075	4,075	Investments in Subsidiaries
32.2 Assets Pledged by Lexinton Resorts (Pvt) Ltd				
Land	Primary Mortgage for Loans and Borrowings NDB Bank	542	-	Investment Property
32.3 Assets Pledged by Ambeon Holdings PLC				
Quoted Equity Investments	Overdraft Facility Revolving Loan for Loans and Borrowings	1,975	2,228	Investments in Subsidiaries and Other Current Financial Assets
32.3 Assets Pledged by Ceylon Leather Products (Pvt) Ltd				
Immovable Properties	Floating Mortgage for Loans and Borrowings	1,917	1,323	Property, Plant & Equipment
Plant & Machinery Other than leased	Floating Mortgage for Loans and Borrowings	-	36	Property, Plant & Equipment
Raw Materials, Finished Goods and Work in Progress	Floating Mortgage for Loans and Borrowings	350	531	Inventory
Trade Debtors	Floating Mortgage for Loans and Borrowings	200	225	Debtors
		2,467	2,115	
32.4 Assets Pledged by South Asia Textiles Ltd				
Machineries	Primary Mortgage for Loans and Borrowings	1,040	1,199	Property, Plant & Equipment
Raw Materials, Finished Goods and Work in Progress	Primary/Concurrent Mortgage for Loans and Borrowings	2,102	1,877	Inventories
Trade Debtors	Primary/Concurrent Mortgage for Loans and Borrowings	811	890	Trade and Other Receivables
Margin Accounts	Primary Mortgage for Loans and Borrowings	14	13	Other Financial Assets
		3,967	3,979	
32.5 Assets Pledged by Dankotuwa Porcelain PLC				
Inventory and Trade Debtors	For Loans and Borrowings	730	490	Inventory and Trade Debtors
Machinery	Primary Mortgage for Loans and Borrowings	-	141	Property, plant and equipment
		730	504	
32.6 Royal Fernwood Porcelain Limited				
Land and Buildings & immovable machinery	Term loans and short term borrowings	580	580	Property, plant and equipment
		580	580	



11 FINANCIAL INSTRUMENTS AND RISK MANAGEMENT

Risk management framework

The Board of Directors has overall responsibility for the establishment and oversight of the Group's risk management framework.

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. All the Group level risks are escalated to the parent company and the Board. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities.

The Group Audit Committee oversees the reports submitted by the Enterprise Risk Management and monitors compliance with the Group's risk management policies and procedures, and reviews the adequacy of the risk management framework in relation to the risks faced. The Group Audit Committee is assisted in its oversight role by Internal Audit. Internal Audit undertakes both regular and adhoc reviews of risk management controls and procedures, the results of which are reported to the Audit Committee.

A financial instrument is any contract that gives rise to both a financial asset of one enterprise and a financial liability or equity instrument of another enterprise.

The Group has exposure to the following risks from its use of financial instruments:

- (i) Credit risk
- (ii) Liquidity risk
- (iii) Market risk

(i) Credit risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. The Group's

Exposure to credit risk

The Group limits its exposure to credit risk by investing only in liquid debt securities.

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

As at 31st March	Note	Consolidated		Company	
		2019 LKR	2018 LKR	2019 LKR	2018 LKR
Fair Value Through Profit & Loss	17.4	895,197,720	2,034,057,883	895,197,720	757,790,604
Held to Maturity Financial Assets	17.1	23,236,379	22,451,836	-	-
Loans & Receivables	17.2	287,403,237	374,997,868	-	-
Trade & Other Receivables	19	6,005,043,760	4,009,655,688	88,663,548	104,765,555
Cash & Cash Equivalents	20	611,908,960	1,999,187,137	1,212,412	372,368
		<u>7,822,790,056</u>	<u>8,440,350,413</u>	<u>985,073,680</u>	<u>862,928,527</u>

The financial assets that are past due and but not impaired and neither past due or impaired as follows:

As at 31st March 2019	Consolidated			Company		
	Neither past due or impaired LKR	Past due and but not impaired LKR	Total LKR	Neither past due or impaired LKR	but not impaired LKR	Total LKR
Fair Value Through Profit & Loss	-	1,040,822,355	1,040,822,355	-	892,762,001	892,762,001
- Change in fair value of investments	-	(145,624,635)	(145,624,635)	-	2,435,719	2,435,719
		895,197,720	895,197,720	-	895,197,720	895,197,720
Investments in other financial assets	-	310,639,616	310,639,616	-	-	-
Trade and other receivables	-	7,244,186,334	7,244,186,334	-	110,303,775	110,303,775
- Impairment of trade receivables	-	(1,239,142,574)	(1,239,142,574)	-	(21,640,227)	(21,640,227)
	-	6,005,043,760	6,005,043,760	-	88,663,548	88,663,548
Cash and cash equivalents	611,908,960	-	611,908,960	1,212,412	-	1,212,412
	<u>611,908,960</u>	<u>7,210,881,096</u>	<u>7,822,790,056</u>	<u>1,212,412</u>	<u>983,861,268</u>	<u>985,073,680</u>

As at 31st March 2018	Consolidated			Company		
	Neither past due or impaired LKR	Past due and but not impaired LKR	Total LKR	Neither past due or impaired LKR	but not impaired LKR	Total LKR
Fair Value Through Profit & Loss	-	1,811,588,583	1,811,588,583	-	757,790,604	757,790,604
- Change in fair value of investments	-	222,469,300	222,469,300	-	-	-
	-	2,034,057,883	2,034,057,883	-	757,790,604	757,790,604
Investments in other financial assets	-	397,449,704	397,449,704	-	-	-
Trade and other receivables	-	5,078,469,351	5,078,469,351	-	124,054,648	124,054,648
- Impairment of trade receivables	-	(1,068,813,663)	(1,068,813,663)	-	(19,289,094)	(19,289,094)
	-	4,009,655,688	4,009,655,688	-	104,765,555	104,765,555
Cash and cash equivalents	1,999,187,137	-	1,999,187,137	372,368	-	372,368
	<u>1,999,187,137</u>	<u>6,441,163,276</u>	<u>8,440,350,413</u>	<u>372,368</u>	<u>862,556,159</u>	<u>862,928,527</u>



(ii) Liquidity risk

Liquidity risk is the risk that cash may not be available to pay obligations when due. The Group manages its liquidity needs by carefully monitoring scheduled payments for financial liabilities as well as cash-outflows due in day-to-day business. The following are the contractual maturities of non-derivative financial liabilities

As at 31 March 2019	Consolidated						£ millions				
	Carrying Amounts LKR	Contractual cash out flows LKR	On demand LKR	Less than 3 months LKR	3 to 12 months LKR	1 to 5 years LKR	> 5 years LKR	Contractual cash out flows LKR	On demand LKR	Less than 3 months LKR	1 to 5 years LKR
Non-derivative financial liabilities											
Employee Share Appreciation Rights (ESAR)	20,965,777	20,965,777	-	-	-	20,965,777	-	20,965,777	-	-	20,965,777
Loans and borrowings	7,949,789,658	8,839,479,691	-	1,817,339,242	3,197,481,059	3,813,881,686	10,777,705	3,991,968,478	4,692,945,735	1,243,283,345	3,449,662,390
Trade & Other payables	4,922,462,303	4,922,462,303	4,922,462,303	-	-	-	-	43,669,324	43,669,324	43,669,324	-
Bank Overdraft	1,423,547,246	1,423,547,246	-	1,423,547,246	-	-	-	34,970,689	34,970,689	34,970,689	-
	14,316,764,984	15,206,455,018	4,922,462,303	3,240,886,488	3,197,481,059	3,834,847,463	10,777,705	4,091,574,267	4,792,551,524	43,669,324	3,470,638,167

	Consolidated						Company					
	Carrying Amounts LKR	Contractual cash out flows LKR	On demand LKR	Less than 3 months LKR	3 to 12 months LKR	1 to 5 years LKR	> 5 years LKR	Carrying Amounts LKR	Contractual cash out flows LKR	On demand LKR	Less than 3 months LKR	1 to 5 years LKR
As at 31 March 2018												
Non-derivative financial liabilities												
Employee Share Appreciation Rights (ESAR)	32,038,552	32,038,552				32,038,552		32,038,552	32,038,552			32,038,552
Loans and borrowings	6,028,031,169	6,341,790,485	237,287,000	2,147,573,363	2,241,448,275	1,702,593,172	12,888,675	1,635,664,967	1,635,664,967	1,635,664,967	-	-
Trade and Other payables	3,678,206,382	3,678,206,382	3,678,206,382	-	-	-	-	31,460,607	31,460,607	31,460,607	-	-
Bank Overdraft	2,760,999,591	2,760,999,591	-	2,760,999,591	-	-	-	2,010,095,205	2,010,095,205	-	2,010,095,205	-
	12,499,275,694	12,813,035,009	3,915,493,382	4,908,572,954	2,241,448,275	1,734,631,724	12,888,675	3,709,259,331	3,709,259,331	1,667,125,475	2,010,095,205	32,038,552

Market risk is the risk that changes in market prices such as foreign exchange rates and interest rates will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return.

Currency risk is the risk that the value of financial instruments will fluctuate due to changes on foreign exchange rates. All purchases and related payments due to suppliers are termed in Sri Lankan ("RS") US Dollar (USD) and Euro (EUR). RS is pegged against USD and hence, the Group's exposure to currency risk in terms of USD is minimal.

Interest rate risk is the risk to earnings or capital arising from movement of interest rates. The Group has negotiated overdrafts at a fixed interest rate basis, hence not subject to the interest rate risk.

A suitability structured capital base is essential in order to maintain sufficient and adequate levels of working capital for day to day operations and long term growth. The capital of the Group consists of equity and debt. The components of the equity capital consist of short term debt sources while the debt capital consist of retained earnings and reserves.

MATERIAL PARTLY-OWNED SUBSIDIARIES

Financial information of subsidiaries that have material non-controlling interests is provided below:

35.1 Proportion of equity interest held by non-controlling interests:

Name	Proportion of NCI		Accumulated Balances of NCI		Profit allocated to NCI	
	2019	2018	2019	2018	2019	2018
			LKR	LKR	LKR	LKR
<i>Non-Controlling Interests material individually</i>						
Ambeon Holdings PLC	18.57%	18.57%	1,009,336,039	1,126,308,662	(5,455,415,499)	135,560,510,49
South Asia Textiles Limited	20.47%	20.47%	418,447,412.84	420,230,834	(475,712,109)	13,676,775
Ceylon Leather Products PLC	18.65%	18.65%	264,733,458.45	266,331,469	(93,836,965)	29,431,133
Dankotuwa Porcelain PLC	36.88%	36.88%	597,198,418.65	682,083,235	88,032,805	(14,836,584)
Colombo City Holdings PLC	45.91%	45.91%	925,893,780.65	863,834,782	71,785,028	71,785,028
Millennium T.E.S.P (Private) Limited	50.95%	18.57%	182,804,684.51	136,556,049	207,848,069	62,446,838
Non-controlling interest material in aggregate			(330,199,380)	(1,067,166,515)	665,590,158	(67,308,125)

Total

		2019	2018
		LKR	LKR
Dividend Paid to NCI Shareholders			
Ambeon Holdings PLC		82,820,115	2018
South Asia Textiles Limited		5,853,581	5,853,333
Colombo City Holdings PLC		12,830,940	6,415,199
Millennium T.E.S.P (Private) Limited		69,676,594	
		171,181,230	12,248,532

The summarised financial information of these subsidiaries is provided below. This information is based on amounts before inter-company eliminations

35.2 Summarised statement of Profit or Loss for the period ending 31 March

	Ambeon Holdings PLC		South Asia Textiles Limited		Ceylon Leather Products Limited		Dankotuwa Porcelain PLC		Colombo City Holdings PLC		Millennium T.E.S.P (Private) Limited	
	2019	2018	2019	2018	2019	2018	2019	2018	2019	2018	2019	2018
			LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Revenue	465,472,936	713,263,710	8,296,190,582	7,744,989,024	605,926,792	640,108,270	1,233,709,907	1,276,617,363	8,893,895	114,879,411	6,533,340,789	1,562,444,695
Operating Income/(Costs)	(103,112,442)	217,042,366	(7,734,132,744)	(7,314,434,205)	(927,787,002)	(85,215,159)	(908,770,138)	(1,456,641,351)	71,541,045	131,093,192	(5,922,025,700)	(1,249,773,297)
Finance Costs	(330,753,496)	(234,215,154)	(89,430,987)	(68,588,493)	(106,960,826)	(48,359,914)	(65,093,475)	(21,776,925)	(2,315,262)	(183,158)	(155,967,739)	(34,454,602)
Finance Income			17,405,994	8,900,140	1,643,480	51,841,571	36,590,018	48,546,894	139,447,437	41,242,795	61,218,932	5,642,029
Tax Expense	(100,984,623)	(13,936,442)	(34,520,735)	(13,580,714)	(75,960,301)	(109,010,714)	(160,215,080)	(22,254,183)	(40,211,859)	(24,004,600)	(108,052,000)	(8,103,240)
Profit or Loss from Continuing Operations	(290,377,593)	(29,097,364)	(175,712,116)	(13,580,714)	(150,146,901)	(668,293,502)	(236,780,664)	(180,090,859)	(77,835,286)	(26,867,575)	(407,073,281)	(316,229,070)
Other Comprehensive Income	(153,436,785)	112,825	(220,111,545)	(21,504,208)	(11,271,905)	(63,492,116)	(2,408,044,622)	(20,036,284)	(11,400)	(47,003)	(8,967)	(316,229,070)
Total Comprehensive Income	(443,814,378)	(17,974,539)	(395,823,661)	(35,084,922)	(161,418,806)	(731,785,618)	(249,184,686)	(199,127,143)	(89,235,286)	(73,870,578)	(415,941,288)	(632,458,140)



35 MATERIAL PARTLY-OWNED SUBSIDIARIES (Contd.)

35.3 Summarised Statement of Financial Position for the period 31 March

	Ambeon Holdings PLC		South Asia Textiles Limited		Ceylon Leather Products Limited		Dankotuwa Porcelain PLC		Colombo City Holdings PLC		Millennium I.T.E.S.P (Private) Limited	
	2019	2018	2019	2018	2019	2018	2019	2018	2019	2018	2019	2018
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Current Assets	1,331,725,184	1,660,339,606	3,055,273,314	3,446,910,557	637,908,352	1,008,237,686	1,104,304,817	1,051,687,796	498,774,646	1,126,707,288	5,107,942,552	3,522,836,522
Non-current Assets	6,503,516,988	6,873,229,617	2,754,391,302	2,088,841,886	2,117,304,402	1,560,178,944	2,462,644,637	1,884,777,667	1,803,119,630	793,131,994	423,492,332	220,585,137
Asset Classified as Held for Sale												
Total Assets	7,835,242,172	8,533,569,223	5,809,664,616	5,535,752,443	2,755,212,754	2,568,416,630	3,566,949,454	2,936,465,463	2,301,894,276	1,920,839,282	5,531,434,884	3,743,421,659
Current Liabilities	1,071,866,221	1,663,730,703	3,119,131,457	2,865,464,656	907,531,161	876,599,209	981,335,364	553,688,328	263,955,646	38,099,021	4,961,681,720	2,915,380,799
Non-current Liabilities	1,128,071,488	804,633,014	646,066,988	617,108,112	428,204,604	327,499,691	346,924,852	533,491,529	22,058,420	1,088,184	110,936,131	92,682,494
Liabilities Directly associated with the Asset Classified as Held for Sale												
Total Liabilities	2,399,937,709	2,468,363,717	3,765,198,445	3,482,572,768	1,335,735,765	1,204,098,900	1,328,260,216	1,087,179,857	286,014,066	49,187,205	5,072,617,851	3,008,063,293
Summarised Cash Flow Information for the year ending 31 March												
Operating	(128,375,173)	346,489,451	694,730,137	920,332,893	(231,238,006)	(504,830,615)	(265,625,876)	(47,747,462)	(8,336,491)	24,611,528	(633,680,756)	(353,622,388)
Investing	494,401,132	(1,343,850,340)	(699,602,723)	(278,153,174)	(16,629,812)	26,114,009	(12,363,150)	(15,100,927)	(147,606,768)	(10,819,280)	(43,691,541)	(16,455,427)
Financing	1,279,417,593	1,762,915,823	(183,432,781)	(411,508,195)	111,197,918	185,507,718	(13,023,237)	(65,885,211)	(49,188,719)	(1,181,151)	(1,48,960,001)	(60,121,901)
Net increase/(decrease) in cash and cash equivalents	1,154,301,031	208,554,934	(588,705,371)	529,271,524	(116,669,900)	(291,148,888)	(201,014,153)	(27,008,352)	(194,728,974)	(1,059,902)	(1,94,561,284)	(113,799,710)
Increase in interests in Material Subsidiaries												

35.4 Colombo City Holdings PLC

Acquisition of Lexington Holdings (Pvt) Ltd by Colombo City Holdings PLC - On 28 January 2019, Colombo City Holdings PLC acquired the entire issued shares of Lexington Holdings (Private) Limited held by Ambeon Capital PLC and Taprobane Investments (Private) Limited for a total consideration of LKR 414.8 Mn

35.5 Millennium I.T.E.S.P. (Pvt) Limited

On 4 April 2018, the company disposed 547,575 of shares to Millennium capital Investment Limited for a total consideration of LKR 132 Mn

On 02 August 2018 the company disposed 77.23% of its holding in Millennium I.T.E.S.P (Pvt) Ltd to Eon Tec (Pvt) Limited for a total consideration of LKR 927 Mn. Eon Tec (Pvt) Limited was incorporated to hold the investment in Millennium I.T.E.S.P (Pvt) Ltd. The company holds 78% of Eon Tec (Pvt) Limited

Taprobane Capital Plus (Pvt) Ltd

On 10 December 2018, Taprobane Capital Plus (Pvt) Limited acquired 100% of the issued shares of Lexington Financial Services (Pvt) Ltd for a total consideration of Rs. 5,236,908/- held by Lexington Holdings (Pvt) Limited



36. BUSINESS COMBINATIONS AND ACQUISITION OF NON-CONTROLLING INTERESTS

36.1 Acquisition of Millennium Information Technologies (Pvt) Limited

During 2017/18, the company acquired 100% of the issued shares of Millennium I.T.E.S.P (Pvt) Limited, an unlisted company specialised in the Integration Business provides a host of specialised, scalable solutions ranging from Core Infrastructure, Information Security, Business Collaboration, Near-Field Communications, Business Productivity, Managed Solutions and Customer Relationship Management. Millennium I.T.E.S.P (Pvt) Limited was acquired to expand the presence in the industry of Information Technology.

The Group elected to report provisional amounts for items to which accounting is incomplete. During the measurement period, the Group adjusted the provisional amounts recognised at the acquisition to reflect new information obtained about facts and circumstances that existed as of the acquisition date and, if known, would have affected the measurement of the amounts recognised as of that date as stated by SLFRS 3 - Business Combinations.

Based on an assessment carried out by the management of Millennium I.T.E.S.P (Pvt) Limited, the fair value of the identifiable assets acquired and liabilities assumed were revised during the measurement period as stated below:

	Impact on MIT Financial Statements			Impact on 2018 Annual Report		
	Millennium I.T.E.S.P (Pvt) Limited	Measurement Period Adjustment - SLFRS 3	Acquisition for the period	31 March 2018 Published	Measurement Period Adjustment - SLFRS 3	31 March 2018 Revised
Assets	LKR	LKR	LKR	LKR	LKR	LKR
Property, Plant & Equipment	64,212,371	(9,776,857)	54,435,514	5,474,938,163	(9,776,857)	5,465,161,306
Biological Assets	-	-	-	48,281,950	-	48,281,950
Investment Property	-	-	-	1,688,188,153	-	1,688,188,153
Intangible Assets	296,296	-	296,296	845,866,849	395,639,120	1,241,505,969
Other Financial Assets	-	-	-	22,451,836	-	22,451,836
Deposit with Colombo Stock Exchange	-	-	-	2,782,406	-	2,782,406
Deferred Tax Asset	90,433,851	-	90,433,851	274,360,132	-	274,360,132
Inventories	450,651,762	-	450,651,762	3,758,051,548	-	3,758,051,548
Trade & Other Receivables	1,557,085,844	-	1,557,085,844	4,009,655,688	-	4,009,655,688
Other Financial Assets	-	-	-	2,409,055,751	-	2,409,055,751
Income Tax Receivables	-	-	-	16,476,850	-	16,476,850
Cash in Hand and at Bank	1,042,719,907	-	1,042,719,907	1,999,187,137	-	1,999,187,137
	3,205,400,031	(9,776,857)	3,195,623,173	20,549,296,463	385,862,263	20,935,158,726
Liabilities						
Other Financial Liabilities	-	-	-	32,935,638	-	32,935,638
Interest Bearing Loans & Borrowings	-	-	-	1,562,021,994	-	1,562,021,994
Deferred Tax Liability	-	-	-	620,479,220	-	620,479,220
Retirement Benefit Obligations	89,765,971	-	89,765,971	410,048,970	-	410,048,970
Trade and Other Payables	1,277,440,574	389,931,940	1,667,372,514	3,292,344,120	385,862,263	3,678,206,383
Income Tax Payable	108,116,081	-	108,116,081	177,629,826	-	177,629,826
Deferred Income	506,418,642	-	506,418,642	748,150,496	-	748,150,496
Interest Bearing Loans & Borrowings	824,578,467	-	824,578,467	7,227,008,765	-	7,227,008,765
	2,806,319,735	389,931,940	3,196,251,674	14,070,619,029	385,862,263	14,456,481,293
Total identifiable net assets at fair value	399,080,297	(399,708,797)	(628,500)			
Goodwill arising on acquisition (Note 13.2)	766,323,679	395,639,120	1,161,962,799			
Purchase consideration transferred	1,165,403,975	(4,069,676)	1,161,334,299			
Net Cash Acquired with the subsidiary	1,042,719,907	-	1,042,719,907			
Net Cash outflow from the Acquisition	122,684,068	(395,639,120)	118,614,392			

36.2 The Group identified intangible asset as follows upon the completion of the acquisition of Millennium I.T.E.S.P (Pvt) Limited

	2018/19 LKR Reported	2018/19 LKR Revised
Provisional Goodwill	766,323,679	-
Goodwill	-	847,041,839
Brand Name	-	32,739,868
	766,323,679	879,781,707

